

Final Accounts of Not-for-Profit Organisations

2

RECEIPTS AND PAYMENTS ACCOUNT

Meaning	The 'Receipts & Payment Account' is an Asset Account (or Real Account) which shows all Receipts and Payments of Revenue nature as well as Capital nature whether they relate to Current year, Previous year or Future year along with the Cash & Bank balances in the beginning and at the end of an accounting period.			
Format	A general format of a Receipts & Payments Account is given below:			
	Receipts and Payments Account <i>Dr.</i> <i>Cr.</i> for the period ending on ...			
	<i>Receipts</i>	<i>Rs</i>	<i>Payments</i>	<i>Rs</i>
	To Balance b/d:		By Balance b/d (Bank overdraft)	xxx
	Cash xxx		By Annual Sports Expenses	xxx
	Bank xxx	xxx	By Salaries & Wages	xxx
	To Subscription		By Rent, Rates & Taxes	xxx
	for previous year xxx		By Insurance	xxx
	for current year xxx		By Furniture	xxx
	for next year xxx	xxx	By Sports Equipments	xxx
	To Entrance Fees	xxx	By Books & Periodicals	xxx
	To Donation for Building	xxx	By Audit Fees	xxx
	To General Donations	xxx	By Printing & Stationery	xxx
	To Life Membership Fees	xxx	By Honorarium	xxx
	To Legacy	xxx	By Bank Charges	xxx
	To Grant from Govt.	xxx	By Postage & Telegrams	xxx
	To Contribution for Annual Dinner	xxx	By Water & Electricity	xxx
	To Dividend	xxx	By Conveyance & Travelling	xxx
	To Interest	xxx	By Repairs & Maintenance	xxx
	To Rent	xxx	By Sundry Expenses	xxx
	To Receipt on Annual Sports	xxx	By Annual Dinner Expenses	xxx
	To Sale of Old Sports Materials	xxx	By 12% Investments	xxx
	To Sale of Old Magazines	xxx	By Balance c/d:	xxx
	To Sundry Receipts	xxx	Cash xxx	
	To Balance c/d (Bank overdraft)	xxx	Bank xxx	xxx
		xxx		xxx

INCOME AND EXPENDITURE ACCOUNT

Meaning	An Income and Expenditure Account is a final account like Profit & Loss Account, which shows the classified summary of incomes, expenses and losses for current accounting period along with the excess of income over expenditure or excess of expenditure over income which is transferred to the Capital Fund.																																																																																											
Format	A general format of an Income and Expenditure Account is given below:																																																																																											
Income and Expenditure Account of..... Dr. Cr. <table><thead><tr><th>Expenditure</th><th>Rs</th><th>Income</th><th>Rs</th></tr></thead><tbody><tr><td>To Salaries and Wages paid</td><td>xxx</td><td>By Subscription</td><td></td></tr><tr><td> Add: Outstanding at the end</td><td>xxx</td><td> Received</td><td>xxx</td></tr><tr><td> Less: Prepaid at the end</td><td>xxx</td><td> Add: Outstanding at the end</td><td>xxx</td></tr><tr><td> Add: Prepaid in the beginning</td><td>xxx</td><td> Less: Advance at the end</td><td>xxx</td></tr><tr><td> Less: Outstanding in the beginning</td><td>xxx</td><td> Add: Advance in the beginning</td><td>xxx</td></tr><tr><td></td><td>xxx</td><td> Less: Outstanding in the beginning</td><td>xxx</td></tr><tr><td>To Rent, Rates and Taxes</td><td>xxx</td><td></td><td>xxx</td></tr><tr><td>To Insurance Premium</td><td>xxx</td><td>By Entrance Fees (only that portion which is to be treated as revenue)</td><td>xxx</td></tr><tr><td>To Depreciation on Furniture and Sports equipments</td><td>xxx</td><td>By General Donations</td><td>xxx</td></tr><tr><td>To Books and Periodicals</td><td>xxx</td><td>By Life membership Fees (only that portion which is to be treated as revenue)</td><td>xxx</td></tr><tr><td>To Audit fees</td><td>xxx</td><td>By Profit from Annual Dinner</td><td></td></tr><tr><td>To Printing & Stationery</td><td>xxx</td><td> Contribution</td><td>xxx</td></tr><tr><td>To Sports Materials Consumed</td><td>xxx</td><td> Less: Expenses</td><td>xxx</td></tr><tr><td>To Honorarium</td><td>xxx</td><td>By Profit on Annual sports (Receipts – expenses)</td><td>xxx</td></tr><tr><td>To Bank Charges</td><td>xxx</td><td>By Profit on Sale of Provisions (Sale + Closing Stock – Purchases – Opening Stock)</td><td>xxx</td></tr><tr><td>To Postage & Telegram</td><td>xxx</td><td>By Rent of Club Hall</td><td>xxx</td></tr><tr><td>To Electricity & Water</td><td>xxx</td><td>By Dividend & Interest</td><td>xxx</td></tr><tr><td>To Conveyance & Travelling</td><td>xxx</td><td>By Sundry Receipts</td><td>xxx</td></tr><tr><td>To Sundry Expenses</td><td>xxx</td><td>By* Deficit i.e. Excess of expenditure over income</td><td>xxx</td></tr><tr><td>To* Surplus i.e., excess of income over expenditure</td><td>xxx</td><td></td><td></td></tr><tr><td></td><td>xxx</td><td></td><td>xxx</td></tr></tbody></table> * Either Surplus or Deficit shall appear.					Expenditure	Rs	Income	Rs	To Salaries and Wages paid	xxx	By Subscription		Add: Outstanding at the end	xxx	Received	xxx	Less: Prepaid at the end	xxx	Add: Outstanding at the end	xxx	Add: Prepaid in the beginning	xxx	Less: Advance at the end	xxx	Less: Outstanding in the beginning	xxx	Add: Advance in the beginning	xxx		xxx	Less: Outstanding in the beginning	xxx	To Rent, Rates and Taxes	xxx		xxx	To Insurance Premium	xxx	By Entrance Fees (only that portion which is to be treated as revenue)	xxx	To Depreciation on Furniture and Sports equipments	xxx	By General Donations	xxx	To Books and Periodicals	xxx	By Life membership Fees (only that portion which is to be treated as revenue)	xxx	To Audit fees	xxx	By Profit from Annual Dinner		To Printing & Stationery	xxx	Contribution	xxx	To Sports Materials Consumed	xxx	Less: Expenses	xxx	To Honorarium	xxx	By Profit on Annual sports (Receipts – expenses)	xxx	To Bank Charges	xxx	By Profit on Sale of Provisions (Sale + Closing Stock – Purchases – Opening Stock)	xxx	To Postage & Telegram	xxx	By Rent of Club Hall	xxx	To Electricity & Water	xxx	By Dividend & Interest	xxx	To Conveyance & Travelling	xxx	By Sundry Receipts	xxx	To Sundry Expenses	xxx	By* Deficit i.e. Excess of expenditure over income	xxx	To* Surplus i.e., excess of income over expenditure	xxx				xxx		xxx
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BALANCE SHEET OF A NON-PROFIT SEEKING ENTITY

Meaning	A Balance Sheet is the statement of assets and liabilities at a given date. It is prepared at the end of an accounting period after the Income & Expenditure Account has been prepared. It is called a Balance Sheet because it is a sheet of balances of ledger accounts which are open even after the preparation of Income & Expenditure Account. In such organisations, the excess of total assets over total outside liabilities is known as Capital Fund. While preparing the Balance Sheet,
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	the excess of income over expenditure is added to the opening Capital Fund and the excess of expenditure over the income is deducted from the opening Capital Fund.			
Format	A general format of a Balance Sheet of a non-profit seeking organisation is given below:			
	Balance Sheet of...as at...			
	Liabilities	Rs	Assets	Rs
	Capital Fund:		Fixed Assets:	
	Opening Balance xxx		Building	
	Add: Surplus xxx		Opening Balance xxx	
	(or Less: Deficit) xxx		Add: Additions xxx	
	Add: Entrance Fees xxx		Less: Depreciation xxx	xxx
	(to the extent capitalised)		Furniture	
	Add: Life Membership		Opening Balance xxx	
	Subscriptions xxx		Add: Additions xxx	
	(to the extent capitalised)		Less: Sale xxx	
	Add: Amt. of Capital		Less: Depreciation xxx	xxx
	Expenditure transferred		Sports Equipment xxx	
	from A Special Fund		Less: Depreciation xxx	xxx
	(e.g. Building Fund) xxx	xxx	Investments:	
	Prize Fund:		Prize Fund Investments xxx	
	Opening Balance xxx	xxx	Building Fund Investments xxx	
	Add: Donation for prizes xxx		10% Govt. Securities xxx	
	Add: Income from		Fixed Deposits xxx	
	Prize Fund		Current Assets:	
	Investments xxx		Stock of Sports Materials xxx	
	Less: Expenses xxx	xxx	Stock of Stationery xxx	
	Building fund:		Outstanding Subscriptions xxx	
	Add: Donation for Building xxx		Accrued Interest xxx	
	Add: Income from		Accrued Rent xxx	
	Building Fund		Cash in hand xxx	
	Investments xxx		Cash at bank xxx	
	Less: Transfer to Capital			
	Fund xxx	xxx		
	Current liabilities:			
	Subscription received in			
	Advance xxx	xxx		
	Outstanding Expenses xxx	xxx		
	Bank Overdraft xxx	xxx		
	Creditors for Stationery xxx	xxx		
		xxx		xxx

ACCOUNTING TREATMENT OF SOME PECULIER ITEMS

Item	Accounting Treatment
1. Subscriptions (i) Periodical Subscription (i.e., periodical payment by members to maintain their membership)	These are treated as Revenue Receipts and thus, are transferred to the credit of Income and Expenditure Account.

Item	Accounting Treatment
(ii) Life Membership Subscription (i.e., Lump sum payment by members to maintain their membership)	If question is silent, these are treated as Capital Receipts and thus are added to the Capital Fund in the Balance Sheet.
2. Entrance Fee (i.e., An initial payment at the time of seeking admission by a person who intends to become a member)	If question is silent, it is treated as Capital Receipt and thus is added to the capital Fund in the Balance Sheet.
3. (i) General Donation (i.e., Amount donated by any person without any specific direction for its use) (ii) General Legacies (i.e., Amount donated under a will after the death of donor) without any specific direction (for its use)	These donations are treated as Revenue Receipts and thus, are transferred to the credit of Income & Expenditure Account.
4. (i) Special Donations (i.e., Amount donated by any person for a specific purpose) (ii) Special Legacies (i.e., Amount donated under a will after the death of donor for a specific purpose)	• These donations are treated as Capital Receipts and thus, are transferred to a 'Special Fund Account' (e.g., Building Fund) maintained for the purpose. • Any income relating to such 'Special Fund Account' is added to the respective Fund. • Any revenue expenditure relating to 'Special Fund Account' is deducted from the respective fund. • However, any expenditure of capital nature on account of this Special Fund (e.g., expenditure on the construction of building out of Building Fund) should be shown on the assets side of the Balance Sheet and an equal amount should be transferred from that Special Fund to the Capital Fund.
5. Interest on General Fund Investments	These are treated as Revenue Receipts and thus, are transferred to the credit of Income and Expenditure Account.
6. Interest on Specific Fund (say Building Fund/Prize Investments Fund)	These are treated as Capital Receipts and thus, are transferred to Specific Fund Account (e.g., Prize Fund/Building Fund) maintained for the Propose.
7. Sale of Old Newspapers and Periodicals	The sale proceeds of old newspapers and periodicals are treated as Revenue Receipts and thus, are credited to the Income & Expenditure Account.
8. Sale of Old Fixed Assets	The sale proceeds of old fixed assets are treated as Capital Receipts and thus, are credited to the respective Fixed Asset Account. However, the profit or loss on sale of fixed assets is shown in the Income & Expenditure Account.

Item	Accounting Treatment
9. Consumable Items (e.g. Sports Materials, Stationary) consumed during the year (It is ascertained by preparing the Stock Account)	Such amount is treated as Revenue Expense and thus is transferred to the debit of Income and Expenditure Account.
10. Profit from Restaurant/Bar Room (It is ascertained by preparing the Restaurant/Bar Trading Account)	Such amount is treated as Revenue Profit and thus is transferred to the credit of Income and Expenditure Account.
11. (i) Surplus (i.e., Excess of Income over Expenditure) (ii) Deficit (i.e., Excess of Expenditure over Income)	Surplus is added to the Capital Fund on the liabilities side of the Balance Sheet Deficit is subtracted from the Capital Fund on the liabilities side of the Balance Sheet.

DISCLOSURE OF SOME PECULIAR ITEMS IN BALANCE SHEET

Item	Balance Sheet	
	Liabilities	Assets
1. Life Membership Subscriptions 2. Entrance Fee 3. Surplus 4. Deficit	Capital Fund: Opening Balance Add: Life Membership Subscription Add: Entrance fee Add: Surplus Less: Deficit Add: Exp. t/f from Building Fund	
5. Donation for Building 6. Interest on Building Fund Investments 7. Expenditure on construction of Building	Building Fund: Opening Balance Add: Donation received Add: Interest Less: Exp. t/f to Capital Fund	
8. Advance Subscription 9. Creditors for Sports Materials/Stationery	Current Liabilities: Advance Subscription Creditors for Sports Materials/stationery	
10. Outstanding Subscription 11. Stock of Sports Materials/Stationery		Current Assets: Outstanding Subscription Stock of Sports Materials/Stationery

DISCLOSURE OF SOME PECULIAR ITEMS IN INCOME & EXPENDITURE ACCOUNT

Item	Income & Expenditure Account			
	Dr.		Cr.	
	Expenditure	Rs.	Income	Rs.
1. Sports Materials consumed	To Sports Materials consumed	xxx		
2. Stationery consumed	To Stationery consumed	xxx		
3. Subscriptions			By Subscription	xxx
4. General Donation			By General Donations/ Legacies	xxx
5. Interest on General Fund Investments			By Interest on General Fund Investments	xxx
6. Sale of old News Papers & Periodicals			By Sale of old Newspapers & periodicals	xxx
7. Profit from Restaurant/Bar Room			By Profit from Restaurant/Bar Room	xxx

B.COM EXAMINATION PROBLEMS

PREPARATION OF INCOME AND EXPENDITURE ACCOUNT

PROBLEM 1. Mahaveer Sports Club gives the following Receipts & Payments Account for the year ended March 31, 2011.

Receipts and Payments Account

Receipts	Rs.	Payments	Rs.
To Opening Cash & Bank Balances	5,200	By Salaries	15,000
To Subscriptions	34,800	By Rent & Taxes	5,400
To Donations	10,000	By Electricity Charges	600
To Interest on Investments	1,200	By Sports Goods	2,000
To Sundry Receipts	300	By Library Books	10,000
		By Newspapers & Periodicals	1,080
		By Misc. Expenses	5,400
		By Closing Cash & Bank Balances	12,020
	51,500		51,500

Liabilities

As on 31.3.2010 As on 31.3.2011
Rs. Rs.

Outstanding Expenses:

Salaries	1,000	2,000
Newspapers & Periodicals	400	500
Rent & Taxes	600	600
Electricity Charges	800	1,000

Assets:

Library Books	10,000	
Sports Goods	8,000	
Furniture and Fixtures	10,000	
Subscriptions Receivable	5,000	12,000
Investment—Govt. Securities	50,000	
Accrued Interest	600	600

Provide Depreciation on:

- Furniture & Fixtures @ 10% p.a.
- Sports Goods @ 20% p.a.
- Library Books @ 10% p.a.

Required: Prepare Club's opening Balance Sheet as on 01.04.2010, Income and Expenditure Account for the year ended on 31.3.2011 and the Balance Sheet as on that date.

[B.Com 2004(E)]

Solution

Balance Sheet as at 01.04.2011

Liabilities	Rs	Assets	Rs
Capital Fund (Balancing figure)	86,000	Fixed Assets:	
Outstanding Expenses:		Library Books	10,000
Salaries	1,000	Sports Goods	8,000
News papers & Periodicals	400	Furniture and Fixture	10,000
Rent & Taxes	600	Investments:	

2.8 Tulsian's Quick Revision for Financial Accounting

Electricity charges	800	Govt. Securities	50,000
		Current Assets:	
		Subscription Receivable	5,000
		Accrued Interest	600
		Cash and Bank Balances	5,200
	88,800		88,800

Income & Expenditure Account

Dr. for the year ending on 31st March, 2011 Cr.

Expenditure	Rs.	Income	Rs.
To Salaries	16,000	By Subscription	41,800
To Newspapers & Periodicals	1,180	By Donations	10,000
To Rent & Taxes	5,400	By Interest on Investment	1,200
To Electricity Charges	800	By Sundry Receipts	300
To Misc. Expenses	5,400		
To Depreciation on furniture & fixtures	1,000		
To Depreciation on Sports Goods	1,800		
To Depreciation on Library Books	1,500		
To Surplus transferred to Capital Fund	20,220		
	53,300		53,300

Balance Sheet as at 31st March 2011

Liabilities	Rs.	Assets	Rs.
Capital Fund:		Fixed Assets:	
Opening Balance	86,000	Library Books	10,000
Add: Surplus	20,220	Add: Addition	10,000
Outstanding Expenses:		Less: Depreciation	1,500
Salaries	2,000	Sports Goods	8,000
Newspapers & Periodicals	500	Add: Addition	2,000
Rent & Taxes	600	Less: Depreciation	1,800
Electricity Charges	1,000	Furniture and Fixture	10,000
		Less: Depreciation	1,000
		Investments:	
		Govt. Securities	50,000
		Current Assets:	
		Subscription Receivable	12,000
		Accrued Interest	600
		Cash and Bank Balances	12,020
	1,10,320		1,10,320

Working Notes:

(i) Calculation of various expenses for current year

	Salaries	Newspapers & Periodicals	Rent & Taxes	Electricity Charges
	Rs.	Rs.	Rs.	Rs.
A Paid	15,000	1,080	5,400	600
B Add: Outstanding at the end	2,000	500	600	1,000
C Less: Outstanding in the beg.	1,000	400	600	800
D Amount for current year	16,000	1,180	5,400	800

(ii) Calculation of Interest and Subscription for Current year

	Interest Rs.	Subscription Rs.
A Received	1,200	34,800
B Add: Receivable at the end	600	12,000
C Less: Receivable in the beg.	600	5,000
D Amount for current year	<u>1,200</u>	<u>41,800</u>

(iii) Donations have been treated as of revenue nature.

(iv) It has been assumed that the fixed assets were acquired at the middle of the year.

PROBLEM 2. The Receipts and Payments Account of Delhi Football Club for the year ending 31st March, 2006 was as under:

Receipts	Rs	Payments	Rs
To Balance b/d (1-4-2005)	48,000	By Purchase of Balls	80,000
To Subscriptions Received	2,46,000	By Tournament fees	10,000
To Interest	2,000	By Affiliation fees	2,000
To Sale of Furniture	10,000	By Rent of Playground	5,000
To Donations for Club Building	60,000	By Refreshment expenses	4,000
		By Travelling expenses	30,000
		By Investments Purchased at Face Value on 31-3-2006	1,00,000
		By Salaries	12,000
		By Misc. expenses	8,000
		By Balance c/d (31-3-2006)	1,15,000
	<u>3,66,000</u>		<u>3,66,000</u>

Prepare Club's Income and Expenditure Account for the year ending 31st March, 2006 and the Balance Sheet as on that date, after taking the following information into account:

- The subscriptions received include Rs 10,000 for the year 2004-2005 and Rs 8,000 for the year 2006-2007. Rs. 16,000 is still outstanding as subscriptions for the year 2005-2006.
- The book value of furniture sold was Rs 14,000.
- Interest earned but not received Rs. 500.
- Rent of playground due but not paid for the current year amounted to Rs 6,000. Rs 1,000 was paid for the year 2004-2005.
- Salary outstanding for the year 2005-2006 Rs 5,000.
- Stock of Bills on 31st March 2006 Rs 4,000.

[B.Com., 1994, 2004]

Solution

Income and Expenditure Account

Dr.

For the year ended 31st March, 2006

Cr.

Expenditure	Rs	Income	Rs
To Balls	80,000	By Subscription	2,46,000
Less: Closing Stock	4,000	Less: o/s in the beginning	10,000
To Tournament fees	10,000		<u>2,36,000</u>
To Affiliation fees	2,000	Less: Advance at the end	8,000
To Rent	5,000		<u>2,28,000</u>
Add: Outstanding	6,000	Add: o/s at the end	16,000
	<u>11,000</u>		
Less: Paid for last year	1,000		
	<u>10,000</u>		<u>2,44,000</u>

2.10 Tulsian's Quick Revision for Financial Accounting

To Refreshment expenses	4,000	By Interest	2,000	
To Travelling expenses	30,000	Add: Accrued	500	2,500
To Salaries	12,000			
Add: Outstanding	5,000			
To Misc. expenses	8,000			
To Loss on sale of furniture	4,000			
To Surplus	85,500			
	2,46,500			2,46,500

Balance Sheet of Delhi Football Club as at 31st March, 2006

Liabilities	Rs	Assets	Rs
Building Fund	60,000	Investments (At Par)	1,00,000
Subscriptions Received in advance	8,000	Cash/Bank Balances	1,15,000
Rent of Playground due but not paid	6,000	Subscriptions Due (for 2005-2006)	16,000
Salary Unpaid	5,000	Interest due but not received	500
Capital Fund:		Stock of Balls	4,000
Opening Balance	71,000		
Add: Surplus	85,500		
	1,56,500		
	2,35,500		2,35,500

Working Note:

Balance Sheet of Delhi Football Club as at 1st April, 2005

Liabilities	Rs	Assets	Rs
Rent of Playground unpaid	1,000	Cash/Bank	48,000
Capital Fund (Balancing figure)	71,000	Subscriptions Due	10,000
		Furniture	14,000
	72,000		72,000

PROBLEM 3. From the following Receipts and Payments Accounts of 'Free Legal Aid Society' for the year 2005-06 (ending 31-3-2006) and information, prepare Income and Expenditure Account for the year and Balance Sheet as at 31st March, 2006:

Receipts	Rs	Payments	Rs
To Balance	14,000	By Salaries of Office Staff	60,000
To Subscriptions	1,00,000	By Honorarium of Legal Advisors	30,000
To Donations	29,000	By Sundry Expenses	3,000
To Interest on Investments (10% p.a.)	40,000	By Stationery	5,000
To Charity Show Receipts	20,000	By Court Fee Stamps	10,000
		By Typewriters	20,000
		By Charity Show Expenses	5,000
		By Cash in Hand	70,000
	2,03,000		2,03,000

Additional Information as on:

	1.4.2005 Rs	31.3.2006 Rs
Subscription due	1,000	2,000
Subscription received in advance	2,000	1,000
Stock to Court Fee Stamps	4,000	6,000

Value of office equipment (Typewriters)
Value of Buildings

42,000
80,000

60,000
72,000

[B.Com. 2005 (E)]

Solution:

Income and Expenditure Account

Dr. for the year ending on 31st March, 2006 Cr.

Expenditure	Rs	Income	Rs
To Salaries of Office Staff	60,000	By Subscriptions	1,02,000
To Honorarium Legal Advisors	30,000	By Donations	29,000
To Sundry Expenses	3,000	By Interest on Investment	40,000
To Stationery	5,000	By Charity Show Receipts	20,000
To Court Fee Stamps:			
Opening Stock	4,000		
Add : Purchases	10,000		
	14,000		
Less : Closing Stock	6,000		
	8,000		
To Depreciation on Typewriters [42,000 + 20,000 – 60,000]	2,000		
To Charity Show Expenses	5,000		
To Depreciation on Building [80,000 – 72,000]	8,000		
To Surplus transferred to Capital Fund	70,000		
	1,91,000		1,91,000

Balance Sheet as at 31st March, 2006

Liabilities	Rs	Assets	Rs
Subscription received in Advance	1,000	Cash in hand	70,000
Capital Fund	5,39,000	Subscription due	2,000
Add: Surplus	70,000	Stock of court fee stamps	6,000
	6,09,000	Office Equipment (Typewriters)	60,000
		Investments	4,00,000
		Buildings	72,000
	6,10,000		6,10,000

Working Notes:

(i) Balance Sheet as at 31st March, 2005

Liabilities	Rs	Assets	Rs
Subscription received in Advance	2,000	Cash in hand	14,000
Capital Fund (Bal. Fig.)	5,39,000	Subscription due	1,000
		Investments (Rs 40,000 × 100/10)	4,00,000
		Office Equipment	42,000
		Stock of Court Fee Stamps	4,000
		Building	80,000
	5,41,000		5,41,000

2.12 Tulsian's Quick Revision for Financial Accounting

Dr.		(ii) Subscription Account		Cr.	
Particulars	Rs	Particulars	Rs		
To Subscription Due A/c (in the beginning)	1,000	By Advance Subscription A/c (in the beginning)	2,000		
To Income and Expenditure A/c (Bal. Fig.)	1,02,000	By Bank	1,00,000		
To Advance Subscription A/c (at the end)	1,000	By Subscription Due A/c (at the end)	2,000		
	1,04,000		1,04,000		

PROBLEM 4. Given below is the Receipts and Payments Account of a "Residents Welfare Association"—Sports Club for the year ending 31-12-2006:

Dr.		Cr.	
Receipts	Rs.	Payments	Rs.
Balance b/d	2,100	Purchase of sports material	7,000
Subscription (including Rs. 1,000 for 2005 and Rs. 1,500 for 2007)	18,000	Stationery	5,700
Life membership fees	9,000	Salaries	7,000
Legacies	2,000	Honorarium	3,000
Entrance fees	4,000	Upkeep of ground	2,600
Donations for building fund	10,000	Application fees	2,000
Tournament fund	8,000	Refreshments	1,400
Hire of club hall	5,000	Tournament expenses	6,000
Sale of old bats and balls etc.	500	Match expenses	1,000
Sale of old furniture	700	10% Investment (on 1-7-2006)	12,000
	59,300	Furniture (part payment)	5,000
		Balance c/d	6,600
			59,300

Additional Information:

	1-1-2006 Rs.	31-12-2006 Rs.
Subscription due	1,400	2,400
Subscription received in advance	—	1,500
Audit fees outstanding	—	1,000
Creditors for stationery	600	500
Stock of stationery	—	800
Stock of sports material	1,100	1,500
Building	40,000	40,000

Furniture was sold on 1-1-2006 at its book value. On the same date furniture Rs. 8,000 was purchased. Depreciation is to be charged at 10% p.a..

Required: Prepare Income and Expenditure Account for the year ended 31-12-2006 and Balance Sheet as on that date.

[B.Com. 2007 (E)]

Solution:

Income and Expenditure Account For the year ending 31st Dec., 2006			
Dr.			Cr.
Expenditure	Rs.	Income	Rs.
To Sports Material A/c	6,100	By Subscription A/c	17,500
To Stationery	4,800	By Hire of Club hall	5,000
To Salaries	7,000	By Accrued Interest A/c	
To Honorarium	3,000	[Interest on Investment]	600
To Upkeep of ground	2,600	[Rs. 12,000 × 10/100 × 6/12]	
To Application fees	2,000	By Entrance fee	4,000
To Refreshments	1,400	By Deficit i.e. excess of	
To Match expenses	1,000	Expenditure over Income	2,600
To Depreciation on Furniture	800		
To Audit fee outstanding	1,000		
	29,700		29,700

Balance Sheet as at 31.12.2006

Liabilities	Rs.	Assets	Rs.
Subscription received in advance	1,500	Cash in hand	6,600
Audit fee outstanding	1,000	Subscription Due	2,400
Creditors for Stationery	500	Stock of Stationery	800
Creditors for furniture [8,000 – 5,000]	3,000	Stock of Sport Material	1,500
Tournament fund 8,000		10% Investment	12,000
Less: Tournament Expenses 6,000	2,000	Accrued Interest on Investment	600
Donation for Building Fund	10,000	Building	40,000
Capital Fund :		Furniture 8,000	
Opening Balance	44,700	Less: Depreciation 800	7,000
Add: Life Membership fee 9,000			
Legacies 2,000			
Less: Deficit (2,600)	53,100		
	71,100		71,100

Working Notes:

(i) Sports Materials Account			
Dr.			Cr.
Particulars	Rs.	Particulars	Rs.
To Balance b/d	1,100	By Bank A/c (Sale of Old bats and balls etc.)	500
To Bank A/c (Purchases)	7,000	By Income & Expenditure A/c (Balancing Figure) (Used)	6,100
		By Balance c/d	1,500
	8,100		8,100

2.14 Tulsian's Quick Revision for Financial Accounting

Dr. (ii) Creditors for Stationery Account Cr.

Particulars	Rs.	Particulars	Rs.
To Bank A/c	5,700	By Balance b/d	600
By Balance c/d	500	By Stock of Stationery (Purchases) (Bal. Fig).	5,600
	6,200		6,200

Dr. (iii) Stock of Stationery Account Cr.

Particulars	Rs.	Particulars	Rs.
To Creditors for Stationery A/c (Purchases)	5,600	By Income & Expenditure A/c (b.f.)	4,800
	5,600	By Balance c/d	800
			5,600

Dr. (iv) Subscription Account Cr.

Particulars	Rs.	Particulars	Rs.
To Subscription Due (Opening)	1,400	By Bank A/c	18,000
To Income & Expenditure A/c (b.f.) (Balancing Figure)	17,500	By Subscription Due (end) [For 2005: Rs. 400 for 2006: Rs. 2,000]	2,400
To Subscription Received in Advance (Closing)	1,500		
	20,400		20,400

Dr. (v) Furniture Account Cr.

Particulars	Rs.	Particulars	Rs.
To Balance b/d (Opening)	700	By Bank A/c (Sales)	700
To Bank A/c (Purchases)	8,000	By Depreciation A/c [Rs. 8,000 × 10/100]	800
	8,700	By Balance c/d	7,200
			8,700

There is neither profit nor loss on sale of furniture because it was sold at its book value.

(vi) Balance Sheet as at 1.1.2006

Liabilities	Rs.	Assets	Rs.
Creditors for Stationery	600	Cash	2,100
Capital (b.f.)	44,700	Subscription Due	1,400
		Stock of Sports Material	1,100
		Building	40,000
		Furniture	700
	45,300		45,300

PROBLEM 5. Summary of Receipts and Payments of Bombay Medical Aid Society for the year ended 31.12.20X2 are as follows:

Opening Cash balance in hand Rs 8,000, Subscription Rs 50,000, donation Rs 15,000. Interest on Investments @ 9% p.a. Rs. 9,000, Payments for medicine supply Rs 30,000, Honorarium to Doctors Rs 10,000, Salaries Rs 28,000 sundry Expenses Rs 1,000, Equipment purchase Rs 15,000, Charity show expenses Rs 1,500, Charity show collections. Rs 12,500.

Additional informations:

	1.1.20X2	31.12.20X2
Subscription due	1,500	2,200
Subscription received in advance	1,200	700
Stock of medicine	10,000	15,000
Amount due for medicine supply	9,000	13,000
Value of equipment	21,000	30,000
Value of building	50,000	48,000

Required: Prepare Receipts and Payments Account and Income and Expenditure Account for the year ended 31.12.20X2 and Balance Sheet as at 31.12.20X2.

Solution

Receipts and Payments Account
for the year ended 31st December, 20X2

Dr.			Cr.
Receipts	Rs	Payments	Rs
To Cash in hand (Opening)	8,000	By Medicine supply	30,000
To Subscription	50,000	By Honorarium to doctors	10,000
To Donation	15,000	By Salaries	28,000
To Interest on investments	9,000	By Sundry expenses	1,000
To Charity show collections	12,500	By Purchase of Equipment	15,000
		By Charity show expenses	1,500
		By Cash in hand (closing)	9,000
	94,500		94,500

Income and Expenditure Account
for the year ended 31st December, 20X2

Dr.			Cr.
Expenditure	Rs	Income	Rs
To Medicine consumed	29,000	By Subscription	51,200
To Honorarium to doctors	10,000	By Donation	15,000
To Salaries	28,000	By Interest on investments	9,000
To Sundry expenses	1,000	By Profit on charity show:	
To Depreciation on:		Show collections	12,500
Equipment	6,000	Show expenses	1,500
Building	2,000		11,000
To Surplus-Excess of Income Over Expenditure	10,200		
	86,200		86,200

Balance Sheet as at 31st December, 20X2

Liabilities	Rs	Assets	Rs
Capital Fund:		Building	50,000
Opening Balance	1,80,300	Less: Depreciation	2,000
Add: surplus	10,200	Equipment	21,000
Subscription received in advance	700	Add: Purchase	15,000
Amount due for medicine supply	13,000		36,000
		Less: Depreciation	6,000
		Stock of medicine	15,000

2.16 Tulsian's Quick Revision for Financial Accounting

		Investments	1,00,000
		Subscription receivable	2,200
		Cash in hand	9,000
	2,04,200		2,04,200

Working Notes:

Dr. (i) Subscription Account Cr.

Particulars	Rs	Particulars	Rs
To Outstanding Subscription A/c (beg.)	1,500	By Advance Subscription A/c (beg.)	1,200
To Income & Expenditure A/c	51,200	By Bank A/c	50,000
To Advance Subscription A/c	700	By Outstanding Subscription A/c (end)	2,200
	53,400		53,400

Dr. (ii) Creditors for Medicines Account Cr.

Particulars	Rs	Particulars	Rs
To Bank A/c	30,000	By Balance b/d	9,000
To Balance c/d	13,000	By Credit Purchases	34,000
	43,000		43,000

Dr. (iii) Stock of Medicines Account Cr.

Particulars	Rs	Particulars	Rs
To Balance b/d	10,000	By Income & Expenditure A/c	29,000
To Purchases	34,000	By Balance c/d	15,000
	44,000		44,000

Dr. (iv) Equipment Account Cr.

Particulars	Rs	Particulars	Rs
To Balance b/d	21,000	By Depreciation A/c	6,000
To Bank A/c (Purchases)	15,000	By Balance c/d	30,000
	36,000		36,000

(v) Balance Sheet as at 31st December, 20X1

Liabilities	Rs	Assets	Rs
Capital fund (balancing figure)	1,80,300	Building	50,000
Subscription received in advance	1,200	Equipment	21,000
Amount due for medicine supply	9,000	Stock of Medicine	10,000
		Investments (Rs 9,000 × 100/9)	1,00,000
		Subscription receivable	1,500
		Cash in hand	8,000
	1,90,500		1,90,500

Note: Donation has been credited directly to the income and expenditure account assuming that donation is of revenue nature. Alternatively, donation may be treated as of capital nature and thus, be credited to capital fund.

PROBLEM 6. From the following Trial Balance and the necessary information given below for a public school, prepare Income and Expenditure Account for the year 20X2, and a Balance Sheet as at March 31, 20X2.

Debit Balances	Rs	Credit Balances	Rs
Buildings	2,50,000	Admission fees	5,000
Furnitures and Fittings	40,000	Tuition and other fees received	2,00,000
Library books	60,000	Creditors for supplies	6,000
9% Investments	2,00,000	Rent for the Hall	4,000
Salaries	2,00,000	Miscellaneous Receipts	12,000
Stationery	15,000	Govt. Grant	1,40,000
General expenses	8,000	General Fund	4,00,000
Annual Sports—Expenses	6,000	Donation received for purchase of library books	25,000
Cash at bank	20,000	Sale of Old Furniture	8,000
Cash in hand	1,000		
	8,00,000		8,00,000

Fees yet to be received for the year Rs 10,000. Salaries yet to be paid amount to Rs 12,000. Furniture costing Rs 15,000 was purchased on 1.10.20X1. The book value of the Furniture sold (on 30.9.20X1) was Rs 20,000 on 1.4.20X1. Depreciation is to be charged @ 10% per annum on Furniture and Fittings; 15% on Library Books and 5% on Buildings. [B.Com.]

Solution

Income and Expenditure Account for the year ending on 31st March, 20X2

Dr.				Cr.
Expenditure	Rs.	Income	Rs.	
To Salaries 2,00,000		By Admission fees	5,000	
Add: Outstanding 12,000	2,12,000	By Tuition fees 2,00,000		
To Stationery 15,000		Add Accrued 10,000	2,10,000	
To General Expenses 8,000		By Hall Rent	4,000	
To Annual Sports Expenses 6,000		By Miscellaneous Receipts	12,000	
To Depreciation on furniture 2,250		By Govt Grants	1,40,000	
To Loss on Sale of Furniture 11,000		By Accrued Interest on Investment	18,000	
To Depreciation on Library Books 9,000				
To Depreciation on Buildings 12,500				
To Surplus t/f to Capital fund 1,13,250				
	3,89,000		3,89,000	

Balance Sheet as at 31st March, 20X2

Liabilities	Rs	Assets	Rs
Creditors for suppliers	6,000	Buildings 2,50,000	
Library funds	25,000	Less: Depreciation 12,500	2,37,500
Salaries due	12,000	Furniture and Fittings 20,000	
General fund 4,00,000		Less: Depreciation 1,250	18,750
Add: Surplus 1,13,250	5,13,250	Library Books 60,000	
		Less: Depreciation 9,000	51,000
		9% Investments	2,00,000
		Interest Accrued on Investments @ 9% p.a.	18,000
		Bank	20,000
		Cash	1,000
		Tuition Fees Due	10,000
	5,56,250		5,56,250

Working Note:

Since Sale of old furniture for Rs 8,000 appears in the Trial Balance, it means, no accounting effect has yet been given in respect of Furniture Account. After passing the rectifying entry the Furniture Account will appear as under:

Opening Balance of furniture as at 1.4.20X1 = Rs 40,000 – Rs 15,000 = Rs 25,000

Book Value of Unsold Old Furniture = Rs 25,000 – Rs 20,000 = Rs 5,000

Dr.		Furniture Account		Cr.	
Particulars	Rs	Particulars	Rs		
To Balance (Unadjusted given)	40,000	By Depreciation on old furniture (20,000 × 10/100 × 6/12)	1,000		
		By Sale of Furniture A/c	8,000		
		By Income & Expenditure A/c (Loss)	11,000		
		By Depreciation A/c:			
		On Old furniture of Rs 5,000	500		
		On New furniture of Rs 15,000	750		
		By Balance c/d	18,750		
	40,000		40,000		

PROBLEM 7. From the following particulars of Stars Cricket Club, prepare an Income and Expenditure Account for the year ending 31st December, 2003 and the Balance Sheet as at the date:

Receipts	Rs	Payments	Rs
To Balance b/d	2,850	By Salaries	4,250
To Subscriptions:		By Printing	2,450
2002 250		By Purchase of Investments	8,000
2003 8,950		By Expenditure on refreshments	4,200
2004 550	9,750	By Payment of expenses	
To Donation for Cricket Pavilion	6,000	of the last year	340
To Sale of Furniture	300	By Additions to Club Building	4,000
To Interest on Investments	1,200	By Cost of Gold Medal	175
To Sale of Refreshment	5,600	By Balance c/d	2,285
	25,700		25,700

In addition to the above, the following further detail is available from the accounts of the club:

- The assets on 1st January, 2003 include club building Rs. 15,000, Investments Rs 6,000 and Furniture Rs 2,000. The liabilities as on 1st January, 2003, include an account styled "Cricket Prizes Fund Account" Rs. 5,000.
- Of Interest on Investments Rs 150 pertains to last year and Rs 320 is still owing.
- Stock of refreshments at the end of the year was valued Rs 55.
- The cricket prize fund was not separately invested. It was decided to set apart every year Rs 200 from the interest income of the club to be utilised for the purpose of awarding a gold medal to the best cricketer of the year.

[B.Com]

Solution

Dr.		Income & Expenditure Account for the year ending 31st December, 2003		Cr.	
Expenditure	Rs.	Income	Rs.		
To Salaries	4,250	By Subscriptions	8,950		
To Printing	2,450	By Interest on Investments	1,200		

<i>Expenditure</i>	<i>Rs.</i>	<i>Income</i>	<i>Rs.</i>
To Refreshment stock consumed		Less: Accrued in the beg. 150	
Purchased 4,200		Add: Accrued at end 320	
Less: Closing Stock 55	4,145		1370
To Loss on sale of furniture (2000 – 300)	1,700	Less: T/f to Cricket P.F. 200	1,170
To Surplus t/f to Capital Fund	3,175	By Sale of Refreshments	5,600
	15,720		15,720

Balance Sheet as at 31st Dec, 2003

<i>Liabilities</i>	<i>Rs</i>	<i>Assets</i>	<i>Rs</i>
Cricket Prize Fund 5,000		Cash Balance	2,285
Add: Transfer of Interest as per decision 200		Building 15,000	
	5,200	Add: Additions 4,000	19,000
Less: Cost of Gold Medal Awarded 175	5,025	Investments 6,000	
Subscription in Advance 550		Add: Purchased 8,000	14,000
Donation for Cricket Pavilion 6,000		Accrued Interest 320	
Capital Fund 20,910		Stock of Refreshment 55	
Add: Surplus 3,175	24,085		
	35,660		35,660

Working Notes:

Balance Sheet as at 1-1-2003

<i>Liabilities</i>	<i>Rs</i>	<i>Assets</i>	<i>Rs</i>
Cricket Prize Fund 5,000		Cash Balance 2,850	
O/s Expenses 340		O/s Subscription 250	
Capital Fund (Balancing figure) 20,910		Building 15,000	
		Accrued Interest 150	
		Investments 6,000	
		Furniture 2,000	
	26,250		26,250

PROBLEM 8. A club gives you the following Receipts and Payments Account for the year ended 31st March, 2006:

<i>Expenditure</i>	<i>Rs.</i>	<i>Income</i>	<i>Rs.</i>
To Balance b/d 4,820		By Salaries 12,000	
To Subscriptions 28,600		By Rent 6,000	
To Miscellaneous income 700		By Electricity 1,220	
To Interest on fixed deposit 2,000		By Library books 1,000	
		By Magazines and newspapers 2,170	
		By Sundry Expenses 10,280	
		By Sports Equipment 1,000	
		By Balance c/d 2,450	
	36,120		36,120

Additional Information:

	31-3-2005	31-3-2006
	Rs.	Rs.
Outstanding salaries	710	170
Outstanding for electricity bill	864	973
Fixed deposit with bank at 10%	20,000	20,000
Outstanding for magazines and newspapers	226	340
Interest accrued on fixed deposit	500	500
Subscription receivable	1,263	1,575
Prepaid sundry expenses	417	620
Furniture	9,600	?
Sports equipment	7,200	?
Library books	5,000	5,250

Charge depreciation on furniture and sports equipment at 10% and 20% per annum respectively inclusive of additions. The library books are revalued at the end of every year and the value at the end of 31st March, 2006 as stated above was Rs. 5,250.

Required: Prepare the Income and Expenditure Account for the year ended 31st March, 2006 and the Balance Sheet as at that date. [2006]

Solution

Income and Expenditure Account of a club
for the year ending 31st March 2006

Dr.				Cr.
Expenditure		Rs.	Income	Rs.
To Salaries (Paid)	12,000		By Subscriptions	28,600
Add: o/s end	170		Add: O/s end	1,575
Less: o/s beg.	710	11,460	Less: O/s beg.	1,263
				28,912
To Rent		6,000	By Misc. Income	700
To Electricity (Paid)	1,220		By Interest on F.D.	2,000
Add: o/s end	973		Add: O/s end	500
Less: o/s beg.	864	1,329	Less: O/s beg.	500
				2,000
To Magazines (Paid)	2,170		By Deficit	2,888
Add: o/s end	340			
Less: o/s beg.	226	2,184		
To Sundry Exp. (Paid)	10,280			
Add: Prepaid beg.	417			
Less: Prepaid end	620	10,077		
To Book written off		750		
To Dep. on Sports equip.		1,640		
To Dep. on Furniture		960		
		34,500		34,500

Balance Sheet as at 31st March 2005

Liabilities	Rs.	Assets	Rs.
O/s Salaries	710	Cash	4,820
O/s Electricity	864	O/s Subscription	1,263
O/s for Magazine	226	Library books	5,000
Capital Fund	47,000	Prepaid Expenses	417
		Sports Equipment	7,200
		Fixed deposit	20,000
		Furniture	9,600
		Accrued Interest on Fixed Deposit	500
	48,800		48,800

Balance Sheet as at 31st March 2006

Liabilities	Rs.	Assets	Rs.
O/s Salaries	170	O/s Subscription	1,575
O/s Electricity	973	Library books	5,000
O/s for Magazine	340	Add: Purchases	1,000
Capital Fund:		Less: Written off	750
Opening Balance	47,000	Prepaid Exp.	620
(-) Deficit	2,888	Sports equipment	7,200
	44,112	Add: Purchases	1,000
		Less: Dep.	1,640
		Cash in hand	2,450
		Fixed deposit	20,000
		Interest on Fixed Deposit	500
		Furniture	9,600
		Less: Dep.	960
	45,595		45,395

PROBLEM 9. The following is the Receipts and Payments Account of a Sports Club for the year ended 31st December, 2008:

Receipts	Rs.	Payments	Rs.
To Balance b/d	7,500	By Salaries	14,000
To Subscriptions (including Rs. 2,000 for the year 2007)	40,000	By Match Expenses	28,000
To Donations	15,000	By 12% Investments on 1-1-2008	40,000
To Life Membership Fees	35,000	By Sports Materials	15,000
To Sale of Furniture at book value	5,000	By Printing & Stationery	12,000
To Entrance Fees	10,000	By Honorarium	5,000
To Interest on 10% Investments for full year	20,000	By Furniture	15,000
To Match Fund	40,000	By Magazines & Journals	10,000
To Donation for Building Fund	45,000	By Books	35,000
To Sale of Newspapers	2,500	By Municipal Taxes	6,000
	2,20,000	By Balance C/d	40,000
			2,20,000

Additional Informations:

(i) The position of the Club on January 1, 2008 was as follows :

Subscriptions due	– Rs. 3,000
Furniture	– Rs. 10,000
Books	– Rs. 20,000
Building	– Rs. 1,25,000
Stock on Sports Materials	– Rs. 4,500
Creditors for Printing	– Rs. 2,500

(ii) The Club has 1,000 members each paying an annual subscription of Rs. 50. 20 members paid their subscription in advance in 2007. In the year 2008, subscription was received in advance from 15 members.

(iii) Municipal Taxes are paid every year on 1st April.

(iv) One member donated a Billiard Table worth Rs. 50,000.

(v) Books worth Rs. 46,000 on 31st December, 2008 and stock of sports materials on that date amounted to Rs. 4,000.

(vi) 12% investments include Rs. 30,000 invested from donations received for building fund.

Required: Prepare Income and Expenditure Account for the year ended 31st December, 2008 and a Balance Sheet as on that date. [B.Com 2009]

Solution

Income and Expenditure Account
for the year ended 31.12.08

Dr.

Cr.

Expenditure	Rs.	Income	Rs.
To Salaries	14,000	By Subscription	40,000
To Sports Material	15,000	Add: O/s for 07	(2,000)
Add: Opening Stock	4,500	Less: O/s for 08	11,750
Less: Closing Stock	(4,000)	Add: Pre reed, in 07	1,000
To Printing & Stationery	12,000	Less: Pre reed, in 08	(750)
Less: O/s in the beginning		By Donations	15,000
of the year	2,500	By Entrance fees	10,000
To Honorarium	5,000	By Interest on 10% Investment	20,000
To Magzines & Journals	10,000	By Accrued Interest on 12% Invest	1,200
To book-written off	9,000	By Sale of Newspapers	2,500
To Municipal Taxes	6,000		
Add: Prepaid Taxes in 07	1,500		
Less: Prepaid Taxes in 08	(1,500)		
To Surplus	29,700		
	98,700		98,700

Balance Sheet as at 31.3.08

Liabilities	Rs.	Assets	Rs.
Capital Fund (Op. Bal.) 3,63,000		Building	1,25,000
Add: Life Membership fees 35,000		Furniture (10,000 – 5,000 + 15,000)	20,000
Add: Surplus 29,700	4,32,700	Books	46,000
Donation for Billiard Table	50,000	Stock of Sports Material	4,000
Donation for Building Fund 45,000		10% Investments	2,00,000
Add: Accrued Interest 3,600	48,600	12% Investments	40,000
Subscription received in advance	750	Billiard Table	50,000
Match fund 40,000		Prepaid Municipal Taxes	1,500
Less: Match Expenses 28,000	12,000	Subscription O/s 07 1,000	
		Subscription O/s 08 11,750	12,750
		Accrued Interest on 12% Investment	4,800
		Cash in Hand	40,000
	5,44,050		5,44,050

Working Note:

Balance Sheet as at 31.12.08

Liabilities	Rs.	Assets	Rs.
Creditors for Printing	2,500	Building	1,25,000
Subscription reed in advance	1,000	Furniture	10,000
Capital Fund (Balancing figure)	3,68,000	Books	20,000
		Stock of Sports Material	4,500
		Subscription Outstanding	3,000
		10% Investments	2,00,000
		Prepaid Municipal Taxes	1,500
		Cash in Hand	7,500
	3,71,500		3,71,500

PROBLEM 10. Prepare Income and Expenditure Account of Lions Club for the year ending 31st March 2009 and a Balance Sheet as on that date from the following—

Receipts and Payments
for the year ending 31-3-2009

Receipts	Rs.	Payments	Rs.
To Balance b/d:		By Salary:	
Cash 20,000		Secretary 60,000	
Bank 1,20,000	1,40,000	Staff 50,000	1,10,000
To Subscription		By Canteen Expenses	1,20,000
2007-08 5,000		By Misc. Expenses	25,000
2008-04 55,000		By Construction of Building	1,50,000
2009-10 4,000	64,000	By Balance c/d:	
To Interest from Bank	10,000	Cash 13,000	
To Sale of old Furniture	20,000	Bank 40,000	53,000
To Sale of Newspapers	4,000		
To Canteen Collections	1,20,000		
To Donation for Building	1,00,000		
	4,58,000		4,58,000

Additional Information:

	31-3-08 Rs.	31-3-09 Rs.
(i) Subscription outstanding as on	10,000	6,000
(ii) Subscription in advance as on	2,000	4,000
(iii) Salary of staff outstanding	10,000	20,000
(iv) Canteen expenses prepaid	10,000	15,000
(v) Furniture at book-value	1,40,000	—
(vi) Buildings (under construction)	1,50,000	4,00,000
(vii) Fixed Deposits with Bank	1,00,000	1,00,000
(viii) Building Fund	2,00,000	—

Book value of furniture sold during the year was Rs. 15,000 and depreciation on furniture is charged @ 10% per annum on closing balance. [B. Com. 2011]

Solution**Income & Expenditure Account of Lions Club for the year ended 31.03.09**

Dr.

Cr.

Expenditure	Rs.	Income	Rs.
To Salary of Secretary	60,000	By Subscription	55,000
To Salary of Staff	50,000	Add: O/s at end	1,000
Add: O/s at end	20,000	Add: Advance in beg.	2,000
Less: O/s in beg.	(10,000)		58,000
	60,000	By Interest from Bank	10,000
To Canteen Exp.	1,20,000	By Gain on sale of Furniture	5,000
Add: Pre in beg.	10,000	By Sale of old Newspaper	4,000
Less: Pre at end	(15,000)	By Canteen Collection	1,20,000
	1,15,000	By Deficit	75,500
To Misc. Expenses	25,000		
To Depreciation on Furniture	12,500		
(10% of 1,25,000)			
	2,72,500		2,72,500

Balance Sheet of Lion Club as at 31.03.09

Liabilities	Rs.	Assets	Rs.
Capital Fund	3,38,000	Building	1,50,000
Less: Deficit	(75,500)	Add: Additions	
	2,62,500	(1,50,000 + 1,00,000)	2,50,000
Building Fund	2,00,000		4,00,000
Add: Additions	1,00,000	Furniture	1,40,000
	3,00,000	Less: Sold	(15,000)
Salary O/s for staff	20,000		1,25,000
Creditors for Building	1,00,000	Less: Depreciation	(12,500)
Subscription in Advance	4,000		1,12,500
		Fixed Deposits	1,00,000
		Cash in Hand	13,000
		Cash at Bank	40,000
		Subscription O/s 07-08	5,000
		08-09	1,000
		Prepaid Canteen Expenses	15,000
	6,86,500		6,86,500

Working Note: Calculation of Opening Capital Fund**Balance Sheet as at 31.03.08**

Liabilities	Rs.	Assets	Rs.
Subscription in Advance	2,000	Cash in Hand	20,000
Salary Outstanding	10,000	Cash at Bank	20,000
Building Fund	2,00,000	Fixed Deposits	1,00,000
Capital Fund (Balancing Figure)	3,38,000	Subscription O/s	10,000
		Prepaid Canteen O/s	10,000
		Furniture	1,40,000
		Building	1,50,000
	5,50,000		5,50,000

PROBLEM 11. Given below is the Receipts and Payments Account of a ABC Club:

Receipts and Payment Account
for the year ended 31st December, 2008

Receipts	Rs.	Payments	Rs.
Balance		Salary of secretary	3,600
Cash 60		Honorarium	450
Bank 3,000	3,060	Wages	2,400
Subscription (including subscription for 2007 Rs.1050)	9,000	Charities	2,000
Sale of old furniture on 1st Jan., 2008	750	Printing and stationery	300
Sale of old Newspaper	50	Postage	100
Lagacies	3,000	Rent and taxes	1,200
Interest on Investment (cost Rs. 20,000)	1,200	Upkeep of land	500
Endowment fund	10,000	Sports material	2,500
Proceeds of concerts	800	Balance c/d	14,850
Advertisement	40		
	27,900		27,900

Assets and liabilities as on 31st Dec., 2007 and 31st December, 2008 are as follows:

	31-12-2007	31-12-2008
Subscription in arrear	200	450
Subscription in advance	300	600
Furniture	2,000	1,080

Depreciation was 10% p.a. on the furniture left after selling a part of it. It was decided that half of legacies may be capitalised.

Required: Prepare income and expenditure account for the year ending 31st December, 2008 and Balance Sheet as on date.

[B. Com 2010 (R)]

Solution

Income and Expenditure Account
for the year ending 31st December, 2008

Dr.

Cr.

Expenditure	Rs.	Income	Rs.
To Salary	3,600	By Subscription	9,000
To Honorarium	450	Less: O/s in the beg.	(150)
To Wages	2,400	Less: Advance at end	(600)
To Charities	2,000	Add: Adv. in the beg.	300
To Printing & Stationery	300	Add: O/s at end	450
To Postage	100	By Sale of old Newspaper	50
To Rent and Taxes	1,200	By Interest on Investment	1,200
To Upkeep of Land	500	By Legacies	3,000
To Depreciation on Furniture	120	Less: capitalised	1,500
To Loss on Sale of Furniture	50	By Proceeds of concerts	800
To Sports Materials	2,500	By Advertisement	40
		By Deficit	630
	13,000		13,000

Balance Sheet as at 31st December, 2008

Liabilities	Rs.	Assets	Rs.
Capital Fund (Op. Bal.)	24,960	Furniture	2,000
Less: Deficit	(630)	Less: Sold	(800)
Add: Legacies	1,500	Less: Depreciation	120
Endowment Fund	10,000	Investments	20,000
Subscription Received in Advance	600	Subscription Due	
		For 2007	50
		For 2008	450
		Cash in hand	14,850
	36,430		36,430

Working Notes:

(i) Calculation of Loss on Sale of Furniture	Rs.
Depreciated value of furniture on Dec. 31, 2008	1,080
The value before depreciation = [Rs. 1,080 × 100/90]	1,200
The value of furniture on January 1, 2008	2,000
Less: Book value of furniture left after sale	1,200
Cost of furniture of Sold	800
Less: Sale Price of Furniture	750
Loss on Sale of Furniture	50
(ii) Calculation of Capital fund as on Jan. 1, 2008	

Balance Sheet as at January 1, 2008

Liabilities	Rs.	Assets	Rs.
Subscription Received in Advance	300	Cash in hand	60
Capital Fund (b.f.)	24,960	Cash at Bank	3,000
		Subscription in arrear	200
		Furniture	2,000
		Investments	20,000
	25,260		25,260

PROBLEM 12. A summary of receipts and payment of Medical Aid Society for the year ended 31-12-2008 is given below:

Receipts	Rs.	Payments	Rs.
To Balance (1.1.2008)	70,000	By Payment for Medicines	3,00,000
To Subscriptions	5,00,000	By Honorarium to doctors	1,00,000
To Donations	1,45,000	By Salaries	2,75,000
To Interest on Investments @7% p.a.	70,000	By Sundry Expenses	5,000
To Charity Show proceeds	1,00,000	By Equipment purchased	1,50,000
		By Charity show expenses	10,000
		By Balance (31-12-2008)	45,000
	8,85,000		8,85,000

Additional Information:

	Amount in Rs.	
	1-1-2008	31-12-2008
Subscriptions Due	5,000	10,000
Subscriptions received in advance	10,000	5,000
Stock of Medicines	1,00,000	1,50,000
Amount due to Medicines Suppliers	80,000	1,20,000
Value of Equipments	2,10,000	3,00,000
Value of Buildings	4,00,000	3,80,000

Required: Prepare Income & Expenditure Account for the year ended 31st December, 2008 and the balance Sheet as on that date

[B.Com. 2010 (E)]

Solution

Income and Expenditure Account
for the year ending 31st December, 2008

Dr.			Cr.
Expenditure	Rs.	Income	Rs.
To Medicine Consumed	2,90,000	By Subscription	5,10,000
To Honorarium to Doctors	1,00,000	By Interest on Investment	70,000
To Salaries	2,75,000	By Charity Show Proceeds	1,00,000
To Sundry Expenses	5,000	By Deficit Over Income	80,000
To Charity Show Expenses	10,000		
To Depreciation on : Equipment	60,000		
Building[4,00,000 – 3,80,000]	20,000		
	7,60,000		7,60,000

Balance Sheet as at 31st December 2008

Liabilities	Rs.	Assets	Rs.
Subscription Received in Advance	5,000	Cash at Bank	45,000
Creditors for Medicines	1,20,000	Subscription Due	10,000
Capital Fund	16,95,000	Stock of Medicines	1,50,000
Add: Donation	1,45,000	Investments	10,00,000
Less: Deficit	(80,000)	Buildings	4,00,000
		Less: Depreciation	20,000
		Equipments	2,10,000
		Add: Purchased	1,50,000
		Less: Depreciation	60,000
	18,85,000		3,00,000
			18,85,000

Working Notes:(i) *Calculation of Capital Fund:***Balance Sheet as at 1st Jan. 2008**

<i>Liabilities</i>	<i>Rs.</i>	<i>Assets</i>	<i>Rs.</i>
Subscription received in advance	10,000	Cash at Bank	70,000
Creditors for Medicines	80,000	Subscription Due	5,000
(Amount due to Medicine suppliers)		Stock of Medicines	1,00,000
Capital fund (<i>Bal. Fig.</i>)	16,95,000	Equipment	2,10,000
		Building	4,00,000
		Investments	10,00,000
	17,85,000		17,85,000

(ii) *Subscription Income for 2008*

	<i>Rs.</i>
Subscription Received during the year	5,00,000
Add: Subscription Due (31.12.08)	10,000
Add: Subscription Received in Advance (1.1.08)	10,000
	5,20,000
Less: Subscription Due (1.1.08)	5,000
Less: Subscription Received in Advance (31.12.1008)	(5,000)
	5,10,000

(iii)

Dr.

Medicines Suppliers Account

Cr.

<i>Date</i>	<i>Particulars</i>	<i>Rs.</i>	<i>Date</i>	<i>Particulars</i>	<i>Rs.</i>
?	To Bank A/c (Payment)	3,00,000	1.1.08	By Balance b/d	80,000
31.12.08	To Balance c/d	1,20,000		By Purchase of Medicines (<i>Bal. Fig.</i>)	3,40,000
		4,20,000			4,20,000

(iv) *Medicines Consumed during 2008*

$$= \text{Opening Stock} + \text{Purchases} - \text{Closing Stock}$$

$$= \text{Rs. } 1,00,000 + \text{Rs. } 3,40,000 - \text{Rs. } 1,50,000 = \text{Rs. } 2,90,000$$

- (v) Interest on Investment received Rs. 70,000 in 2008 indicates that there were investments at the beginning of 2008. The rate of interest is 7% so, the value of investment = $100/7 \times \text{Rs. } 70,000 = \text{Rs. } 10,00,000$.

Dr.

(vi) Equipment Account

Cr.

<i>Particulars</i>	<i>Rs.</i>	<i>Particulars</i>	<i>Rs.</i>
To Balance b/d	2,10,000	By Income & Expenditure A/c (Depreciation) (b.f.)	60,000
To Bank A/c (Purchases)	1,50,000	By Balance c/d	3,00,000
	3,60,000		3,60,000

PREPARATION OF OPENING AND CLOSING BALANCE SHEETS

PROBLEM 13. *The Receipts and Payments Account and the Income and Expenditure Account of a club for the year ended 31st March, 2000 were as follows :*

Receipts and Payments Account

Receipts	Rs.	Payments	Rs.
To Balanced b/d	15,000	By Books	30,000
To Subscription :		By Stationery	2,400
For 1998-99 6,000		By Salary	33,000
For 1999-2000 43,000		By Water and Electricity	3,000
For 2000-2001 500		By Balance c/d	22,200
To Interest on Investments	10,000		
To Rent Received	12,000		
To Special Donation	5,000		
	91,500		91,500

Income and Expenditure Account

Expenditure	Rs.	Income	Rs.
To Stationery	2,100	By Subscriptions	48,000
To Salary	36,000	By Interest	10,000
To Water and Electricity	4,100	By Rent	12,000
To Depreciation :			
Buildings 5,000			
Books 7,000			
Furniture 1,000	13,000		
To Surplus	14,800		
	70,000		70,000

On 31st March, 1999, the club's assets included building Rs. 1,00,000, Books Rs. 40,000, Furniture Rs. 10,000; 10% Investments Rs. 1,00,000 (bought at par), Stock of Stationery Rs. 500, Subscriptions due Rs. 6,500; Interest accrued Rs. 5,000; Rent receivable Rs. 1,000. There were no liabilities on that date.

Required: Prepare Balance Sheet as on 31st March, 1999 and on 31st March 2000.

[B.Com. 2003]

Solution

Balance Sheet as at 31st March, 1999

Liabilities	Rs.	Assets	Rs.
Capital (Balancing Figure)	2,78,000	Cash at Bank	15,000
		Subscriptions Due	6,500
		Interest Accrued	5,000
		Rent Receivable	1,000
		Stock of Stationery	500
		10% Investments	1,00,000
		Furniture	10,000
		Books	40,000
		Building	1,00,000
	2,78,000		2,78,000

Balance Sheet as at 31st March, 2000

Liabilities	Rs.	Assets	Rs.
Subscription Received in Advance	500	Cash at Bank	22,200
O/s Water & Electricity bills	200	Subscription Due:	
Salaries Outstanding	3,000	1998-1999	500
Capital Fund:		1999-2000	5,000
Opening Balance	2,78,000	Accrued Interest	5,000
Add: Surplus	14,000	Books	40,000
Special Donation	5,000	Add: Purchases	30,000
		Less: Depreciation	(7,000)
		Buildings	1,00,000
		Less: Depreciation	(5,000)
		Furniture	10,000
		Less: Depreciation	(1,000)
		Stock of Stationery	500
		Add: Purchases	2,400
		Less: Consumed	(2,100)
		Rent Receivable	1,000
		Investments	1,00,000
	3,01,500		3,01,500

PROBLEM 14. The following particulars related to a Sports Club:

Income and Expenditure Account

Dr. for the year ending 31st March, 2006 Cr.

Expenditure	Rs.	Income	Rs.
To Salaries	11,500	By Entrance Fees	10,500
To Printing and Stationery	2,200	By Subscriptions	25,600
To Advertising	1,600	By Rents	4,000
To Audit Fees	500		
To Fire Insurance	1,000		
To Depreciation on Sports Equipments	9,000		
To Surplus	14,300		
	40,100		40,100

Receipts and Payments Account

Dr. for the year ending 31st March, 2006 Cr.

Receipts	Rs	Payments	Rs
To Balance b/d	4,200	By Salaries	11,000
To Entrance Fees	10,500	By Printing and Stationery	2,600
To Subscriptions:		By Advertising	1,600
2004-05	600	By Fire Insurance	1,200
2005-06	25,000	By Investments	20,000
2006-07	400	By Balance c/d	7,800
To Rents received	3,500		
	44,200		44,200

The assets on 1st April, 2005 included Club Grounds and Pavilion Rs 44,000; Sports Equipment Rs. 25,000 and Furniture and Fixtures Rs 4,000. Subscription in arrears on that date was Rs 800.

Required: Prepare the Balance Sheet as at March 31, 2006.

[B.Com. 2005]

Solution

Balance Sheet as at March 31, 2006

Liabilities	Rs	Assets	Rs
Outstanding Salary	500	Prepaid Insurance	
Outstanding Audit fees	500	[Rs. 1,200 – Rs 1,000]	200
Subscription Received in Advance	400	Club Grounds and Pavilion	44,000
Capital Fund	77,600	Sports Equipment (25,000 – 9,000)	16,000
Add : Surplus	14,300	Investments	20,000
	91,900	Subscription in Arrear:	
		2005: [Rs. 800 – 600]	200
		2006: [Rs. 25,600	
		– Rs. 25,000)]	600
			800
		Furniture	4,000
		Accrued Rent [Rs 4,000 – Rs 3,500]	500
		Cash in hand	7,800
	93,300		93,300

Working Notes:

Balance Sheet as at March 31, 2005

Liabilities	Rs	Assets	Rs
Outstanding for Stationery		Club Grounds & Pavilion	44,000
(Rs 2,600 – Rs 2,200)	400	Sports Equipment	25,000
Capital Fund (Balancing Figure)	77,600	Furniture & Fixtures	4,000
		Subscription in arrears	800
		Cash in hand	4,200
	78,000		78,000

PROBLEM 15. Following are Receipts and Payments and Income and Expenditure Account of Delhi Club for the year ending 31st March, 2004.

Receipts and Payments Account
for the year ending 31st March, 2004

Receipts	Rs.	Payments	Rs.
Balance b/d	1,000	Ground Maintenance	1,200
Subscriptions:		Salary & Honorarium	
2002-03	400	(including salary of	
2003-04	10,300	02-03 Rs. 700)	1,800
2004-05	500	Water & Electricity	350
Legacy	800	Books out of donation	3,000
Donation for Library	7,000	Fixed Deposit out of Donation	4,000
Match Fund	3,300	Match Expenses	2,200
Sale of Furniture	500	Crockery	1,000
		Food	2,000
		Entertainment	2,000
		Sport Materials	2,000
		Balance c/d	4,250
	23,800		23,800

Income and Expenditure Account
for the year ending 31st March, 2004

<i>Expenditure</i>	<i>Rs.</i>	<i>Income</i>	<i>Rs.</i>
Ground Maintenance	1,200	Subscription	10,400
Salary & Honorarium	1,800		
Entertainment	2,000		
Loss as Sale of Furniture	300		
Electricity & Water	350		
Sports Material used (75% of Total Stock in Hand)	2,010		
Food consumed (80% of Total Stock in Hand)	1,500		
Surplus	1,240		
	10,400		10,400

Additional information:

(a) Subscription outstanding on 31-3-03 Rs. 550 estimated at Rs. 500.

(b) Subscription outstanding on 31-3-04 Rs. 120.

(c) Furniture on 31-3-03 Rs. 3,000.

(d) Crockery on 31-3-04 Rs. 2,500.

Required: Prepare Balance Sheet as on 1-4-03 and 31st March, 2004.*[B. Com2006 (R)]***Solution****Balance Sheet as at 1st April, 2003**

<i>Liabilities</i>	<i>Rs.</i>	<i>Assets</i>	<i>Rs.</i>
O/s Salary & Honorarium	700	Cash in hand	1,000
Capital Fund (<i>Balancing Figure</i>)	5,980	Subscription outstanding	500
		Furniture	3,000
		Crockery [Rs 2,500 – Rs. 1,000]	1,500
		Sports Material	
		[2010 × 100/75) – Rs. 2,000]	680
	6,680		6,680

Balance Sheet as at 31st March, 2004

<i>Liabilities</i>	<i>Rs.</i>	<i>Assets</i>	<i>Rs.</i>
Match Fund	3,300	Cash in hand	4,250
Less: Match Expenses (2,200)	1,100	Subscription Outstanding	500
Subscription received in Advance	500	2002-03 [550-50-400]	100
Legacy	800	2003-04 [120-20	
Donation for Library	7,000	(overestimated)]	100
O/s Salary & Honorarium	700	Furniture	3,000
Capital Fund:		Less: Sold (book value)	
Opening Balance	5,980	[500 + 300 (Loss)]	(800)
Add: Surplus	1,240	Crockery	2,500
	7,220	Stock of Food	
		[(1,500 × 100/80) – 150]	375
		Sports Materials [2,680 – 2010]	670
		Fixed Deposit	4,000
		Books	3,000
		Prepaid for Food	
		[(Rs.1,500 × 100/80) – Rs. 2,000]	125
	17,320		17,320

Note: Difference of Subscription outstanding and estimated Rs. 50 (i.e., Rs. 550 – Rs. 500) has been written off.

PROBLEM 16. From the following information relating to Dwarka Sport Club, prepare the Balance Sheet as on 1.1.2007 and on 31.12.2007:

(i) Assets on 1.1.2007 are – Club grounds and building Rs. 5,00,000; Sports equipment Rs. 3,00,000; Furniture Rs. 70,000; Subscription in arrears on that date Rs. 10,000. Creditors for stationery Rs. 5,000.

(ii) Receipts and Payments Account for the year ending 31st December, 2007

	Rs.		Rs.
Balance b/d	50,000	Printing & Stationery	30,000
Subscriptions:		Salaries	1,10,000
2006	9,000	Advertising	20,000
2007	1,80,000	Fire insurance	15,000
2008	5,000	Furniture	20,000
Sale of old newspapers	3,000	Investments	1,80,000
Rent received	22,000	Balance c/d	14,000
Entrance fees	1,20,000		
	3,89,000		3,89,000

(iii) Income and Expenditure Account for the year ending 31st December, 2007

	Rs.		Rs.
Salaries	1,20,000	Subscriptions	1,90,000
Printing & stationery	28,000	Entrance fees	1,20,000
Audit fees	5,000	Rent received	24,000
Advertising	20,000	Sale of old newspapers	3,000
Fire insurance	12,000		
Depreciation :			
on Sports Equipment	60,000		
on Furniture	8,000		
Surplus	84,000		
	3,37,000		3,37,000

[B. Com. 2008(E), 2009 (R)]

Solution

Balance Sheet as at 1.1.2007

Liabilities	Rs.	Assets	Rs.
Creditore for Stationary	5,000	Club grounds and Building	5,00,000
Capital Fund (b.f.)	9,25,000	Sports Equipment	3,00,000
		Furniture	70,000
		Subscription in Arrears	10,000
		Cash in hand	50,000
	9,30,000		9,30,000

Balance Sheet as at 31.12.2007

<i>Liabilities</i>	<i>Rs.</i>	<i>Assets</i>	<i>Rs.</i>
Creditors for Stationery	3,000	Club ground and Building	5,00,000
Outstanding Salary	10,000	Sports Equipment	3,00,000
[Rs. 1,20,000 – Rs.1,00,000]		Less: Depreciation	(60,000)
Outstanding Audit Fees	5,000		2,40,000
Subscription Received		Add: Furniture	70,000
in advance (2008)	5,000	Addition	20,000
Capital Fund	9,25,000	Less: Depreciation	(8,000)
Add: Surplus	84,000		82,000
	10,09,000	Subscription in Arrears :	
		2006 (10,000 – 9,000)	1,000
		2007 (1,90,000 – 1,80,000)	10,000
		Cash in hand	14,000
		Rent Receivable (24,000 – 22,000)	2,000
		Prepaid Fire insurance	3,000
		Investments	1,80,000
	10,32,000		10,32,000

PREPARATION OF RECEIPTS AND PAYMENTS ACCOUNT

PROBLEM 17. From the following particulars relating to Mother Teresa Charitable Trust Hospital prepare Receipts and Payments Account for the year ended 31st March, 2006 and a Balance Sheet as on that date:

Income and Expenditure Account for the year ended 31st March, 2006			
Dr.			Cr.
Expenditure	Rs.	Income	Rs.
To Medicines used	1,49,900	By Subscription	2,80,000
To Honorarium to doctors	60,000	By Donations	47,500
To Salaries	1,37,500	By Interest on investments at 11% p.a.	55,000
To Printing and stationery	5,500	By Proceeds from Charity Show	57,250
To Electricity and water	2,375	Less: Expenses	3,900
To Rent	30,000		53,350
To Depreciation on furniture	10,500		
To Depreciation on equipment	16,250		
To Surplus	23,825		
	4,35,850		4,35,850

Additional Information:

	31-3-2005 Rs	31-3-2006 Rs
(i) Subscription due	600	800
(ii) Subscription received in advance	320	500
(iii) Electricity and water outstanding	460	575
(iv) Stock of medicines	39,100	48,750
(v) Estimated value of equipments	58,000	69,500
(vi) Furniture cost less depreciation	1,05,000	94,500
(vii) Land	—	50,000
(viii) Interest accrued on investments in 11% Bonds costing Rs 5,12,500 (face value Rs 5,00,000)	13,750	13,750
(ix) Cash in hand	1,700	800
(x) Cash at bank	45,000	?

[B.Com. 2003]

Solution

Receipts and Payments Account for the year ended 31st March, 2006			
Dr.			Cr.
Receipts	Rs	Payments	Rs
To Balance b/d:		By Purchase of Medicines	1,59,550
Cash	1,700	By Honorarium to Doctors	60,000
Bank	45,000	By Salaries	1,37,500
To Subscriptions	2,79,980	By Printing and Stationery	5,500
To Donations	47,500	By Electricity and Water	2,260
To Interest on Investments	55,000	By Rent	30,000
To Proceeds from Charity Show	57,250	By Purchase of Equipment	27,750
		By Land	50,000
		By Charity Show expenses	3,900
		By Balance c/d :	
		Cash	800
		Bank (Bal. Fig.)	9,170
	4,86,430		9,970
			4,86,430

Balance Sheet as at 31st March, 2006

Liabilities	Rs	Assets	Rs
Capital Fund:		Land	50,000
Opening Bal.	7,74,870	Furniture	1,05,000
Add: Surplus	23,825	Less: Depreciation	10,500
			94,500
Subscriptions received in Advance	500	Equipment	58,000
Electricity and water outstanding	575	Add: Addition	27,750
			85,750
		Less: Depreciation	16,250
			69,500
		Investments: 11% Bonds	5,12,500
		Interest accrued	13,750
		Stock of Medicines	48,750
		Subscriptions due	800
		Cash at bank	9,170
		Cash in hand	800
	7,99,770		7,99,770

Working Notes:

(i) Balance Sheet as at 31st March, 2005

Liabilities	Rs	Assets	Rs
Subscriptions received in advance	320	Furniture	1,05,000
Electricity and water outstanding	460	Equipment	58,000
Capital Fund (op.) (Bal. fig.)	7,74,870	Investments: 11% Bonds	5,12,500
		Interest accrued	13,750
		Stock of Medicines	39,100
		Subscriptions due	600
		Cash in hand	45,000
		Cash at Bank	1,700
	7,75,650		7,75,650

(ii) Subscriptions received:

Income as per Income & Expenditure A/c	2,80,000	
Add: Subscriptions due on 31st March, 2005	600	
Subscriptions received in advance on 31-3-06	500	2,81,100
Less: Subscriptions due on 31-3-2006	800	
Subscriptions received in advance on 31-3-2005	320	1,120
		2,79,980

(iii) Medicines purchased:

Medicines used during the year	1,49,900
Add: Closing stock	48,750
	1,98,650
Less: Opening stock	39,100
	1,59,550

(iv) Equipment purchased:

Value as on 31-3-2006	69,500
Add: Depreciation	16,250
	85,750
Less: Equipment as on 31-3-2005	58,000
	27,750

(v) Payment for Electricity and water:

Expenditure as per Income & Expenditure A/c	2,375
Add: Bills unpaid in beginning	460
	<u>2,835</u>
Less: Bills unpaid at the end	575
	<u>2,260</u>

PROBLEM 18. Delhi Sports Club gives you the following information:

Income and Expenditure Account
for the year ended 31st December, 2000

Dr. Cr.

Expenditure	Rs	Income	Rs
To Coach Remuneration	9,000	By Subscription	50,000
To Staff Salaries	12,000	By Bar	
To Ground Rent	6,000	Receipts	12,000
To Repairs	6,500	Less: Expenses	<u>10,000</u>
To Sundry Expenses	3,500	By Rent of Hall	6,000
To Ground Maintenance	9,000	By Sale of used kits	2,000
To Depreciation on Furniture	1,500		
To Surplus	12,500		
	<u>60,000</u>		<u>60,000</u>

Balance Sheets

Liabilities	1999 Rs	2000 Rs	Assets	1999 Rs	2000 Rs
Capital Fund	44,000	62,500	Furniture	21,000	19,500
Subscription received in advance	4,000	3,000	Subscription in Arrear	6,000	8,000
Sundry Expenses o/s	1,500	1,000	Cash in hand	5,000	4,000
Staff Salaries o/s	2,000	3,000	Fixed Deposit	22,500	30,000
Ground Rent o/s	3,000	2,000	Cash at bank		10,000
	<u>54,500</u>	<u>71,500</u>		<u>54,500</u>	<u>71,500</u>

Increase in capital fund was due to receipt of entrance fees of Rs 6,000 in the year ended 31st December, 2000.

Required: Prepare Receipts and Payments Account of Delhi Sports Club for the year ended 31st December, 2000. [B Com]

Solution

Receipts and Payments Account
for the year ending 31st December, 2000

Dr. Cr.

Receipts	Rs	Payments	Rs
To Balance b/d:		By Bar Expenses	10,000
Cash	5,000	By Coach Remuneration	9,000
To Entrance Fees	6,000	By Staff Salaries	11,000
To Subscriptions	47,000	By Ground Rent	7,000
To Bar receipts	12,000	By Receipts	6,500
To Rent of Hall	6,000	By Sundry expenses	4,000

2.38 Tulsian's Quick Revision for Financial Accounting

To Sale of used kits	2,000	By Ground maintenance	9,000
		By Fixed Deposit	7,500
		By Balance c/d:	
		Cash	4,000
		Bank	10,000
	78,000		78,000

Working Notes:

(i) Subscription:	Rs
Amount of subscription shown in the cr. side of income & expenditure A/c	50,000
Add: o/s of the last year	6,000
Add: Received in advance at the end of year	3,000
	59,000
Less: Advance in the beginning of the year	(4,000)
	55,000
Less: O/s at the end of the current year	(8,000)
Amount to be shown on cr. side of receipt and Payment Account	47,000
(ii) Staff Salaries:	Rs
Amount of staff salaries shown on the expenditure account	12,000
Less: O/s of the current year	3,000
	9,000
Add: O/s of the previous year	2,000
Amount to be shown in the receipt side of the receipt and payment A/c	11,000
(iii) Ground Rent:	Rs
Amount of ground rent shown an expenditure side	6,000
Less: O/s of the current year	(2,000)
	4,000
Add: O/s of the previous year	3,000
Amount to be shown on or side of receipt and payment a/c	7,000
(iv) Sundry Expenses:	Rs
Amount shown on expenditure side	3,500
Less: O/s of the current year	(1,000)
	2,500
Add: O/s of the previous year	1,500
Amount to be shown on the cr. side of receipt and payment A/c	4,000

PROBLEM 19. Following is the income and Expenditure A/c of C.P. Club for the year ending 31st March, 2005:

Expenditure	Rs.	Income	Rs.
To Salaries	77,750	By Subscription	2,25,000
To Stationery	6,250	By Donations	37,500
To Postage	4,000	By Govt. Grant	25,000
To Sundry Expenses	23,500	By Int. on Fixed Deposit	4,000
To Repairs	18,000		
To Sports Expenses	9,000		
To Pool Expenses	10,000		

<i>Expenditure</i>	<i>Rs.</i>	<i>Income</i>	<i>Rs.</i>
To Affiliation fee	2,500		
To Electricity	16,250		
To Billiard room Expenses	6,250		
To Magazines	7,000		
To Audit fee	1,250		
To Depreciation on:			
Equipment	5,000		
Building	12,500		
Furniture	2,250		
To Surplus	90,000		
	2,91,500		2,91,500

The above account is prepared after considering the information given below:

	<i>As at 1-4-04</i>	<i>As at 31-3-05</i>
<i>Buildings</i>	5,00,000	5,50,000
<i>Sports Ground</i>	5,00,000	5,00,000
<i>Sports Equipment</i>	30,000	45,000
<i>Furniture</i>	25,000	30,000
<i>12% Fixed Deposit</i>	40,000	40,000
<i>Savings Bank Account</i>	—	1,25,000
<i>Subscription Due</i>	25,000	10,000
<i>Subscription received in advance</i>	15,000	5,000
<i>Audit fee due</i>	1,000	1,250
<i>Affiliation fee paid in advance</i>	—	1,250
<i>Cash in hand</i>	6,250	?

You are required to prepare:

- Receipts and Payment A/c for the year ending March 31, 2005; and
- Balance Sheet as at 31-3-05.

Show all workings.

Solution

Receipts & Payments Account for the year ended 31st March 2005

for the year ended 31st March 2005				Cr.	
Receipts		Rs.	Payments		Rs.
To Balance b/d		6,250	By Salaries		77,750
To Subscription	2,25,000		By Stationery		6,250
Add: O/s for beginning	25,000		By Postage		4,000
Less: O/s for end	(10,000)		By Sundry Expenses		23,500
Add: Pre received at end	5,000		By Repairs		18,000
Less: Pre received at the beginning	<u>15,000</u>	2,30,000	By Sports Expenses		9,000
To Donation		37,500	By Pool Expenses		10,000
To Government Grants		25,000	By Affiliation lees	2,500	
To Interest on Fixed deposits		4,000	Add: Fees paid in advance	<u>1250</u>	3,750
To Balance c/d		94,750	By Electricity Charges		16,250
			By Billiard room expanses		6,250
			By Magazines		7,000

2.40 Tulsian's Quick Revision for Financial Accounting

<i>Receipts</i>	<i>Rs.</i>	<i>Payments</i>	<i>Rs.</i>
		By Audit fees 1250	
		Add: O/s for P/y 1,000	
		2,250	
		Less: O/s for C/y 1,250	1,000
		By Equipment purchased	20,000
		By Building purchased	62,500
		By Furniture purchased)	7,250
		By Savings bank A/c (Deposit)	1,25,000
	3,97,500		3,97,500

Closing Balance Sheet as at 31st March 2005

<i>Liabilities</i>	<i>Rs.</i>	<i>Assets</i>	<i>Rs.</i>
Subscription received in advance	5,000	Subscription due	10,000
Capital Fund 11,10,250		Equipment	45,000
Add: Surplus 90,000	12,00,250	Building	5,50,000
Audit fees due	1,250	Furniture)	30,000
Bank overdraft	94,750	Sports Ground	5,00,000
		Fixed Deposits	40,000
		Savings Bank Account	1,25,000
		Affiliation fee paid in advance	1,250
	13,01,250		13,01,250

Working Notes:

(i) Balance Sheet as at 31st March 2004

<i>Liabilities</i>	<i>Rs.</i>	<i>Assets</i>	<i>Rs.</i>
Subscription received in advance	15,000	Building	5,00,000
Audit Fees outstanding	1,000	Sports Ground	5,00,000
Capital Fund (Balancing figure)	11,10,250	Spurts Equipment	30,000
		Furniture	25,000
		12% Fixed Deposits	40,000
		Subscription due	25,000
		Cash in Hand	6,250
	11,26,250		11,26,250

Dr.

(ii) Equipment Account

Cr.

<i>Particulars</i>	<i>Rs.</i>	<i>Particulars</i>	<i>Rs.</i>
To Balance b/d	30,000	By Depreciation A/c	5,000
To Bank A/c (Purchases) (b.f.)	20,000	By Balance c/d	45,000
	50,000		50,000

Dr.		(iii) Building Account		Cr.	
Particulars	Rs.	Particulars	Rs.		
To Balance b/d	5,00,000	By Depreciation A/c	12,500		
To Bank A/c (Purchases) (b.f.)	62,500	By Balance c/d	5,50,000		
	5,62,500		5,62,500		

Dr.		(iv) Furniture Account		Cr.	
Particulars	Rs.	Particulars	Rs.		
To Balance b/d	25,000	By Depreciation A/c	2,250		
To Bank A/c (Purchases) (b.f.)	7,250	By Balance c/d	30,000		
	32,250		32,250		

PROBLEM 20. From the following Income and Expenditure Account of Mayur Club for the year ended 31st December, 2009, prepare Receipts and Payments Account for the year ended 31st December, 2009 and a Balance Sheet as on that date:

Income and Expenditure Account
for the year ended 31-12-2009

Expenditure	Rs.	Income	Rs.
To Salaries	48,000	By Subscriptions	1,56,000
To Stationery	3,200	By Donations	16,000
To Postage and Telephone	6,400	By Billiard Room Collections	14,000
To Rates and Taxes	12,000	By Entrance Fees	24,000
To Repairs	16,000	By Interest from Investments	5,400
To Table Tennis Balls	2,400		
To Printing of Magazines	4,000		
To Electricity Charges	12,000		
To Billiard Room Expenses	6,000		
To Upkeep of Ground	18,800		
To Depreciation on Assets	4,000		
To Excess of Income over Expenditure	82,600		
	2,15,400		2,15,400

Additional Information:

	As on 1-1-2009	31-12-2009
Fixed Assets	96,000	64,000
Investments	54,000	94,000
Cash at Bank	3,600	?
Subscriptions Outstanding	6,000	10,000
Subscriptions received in advance	12,000	20,000
Expenses Outstanding:		
Stationary	1,200	800
Telephone	600	400
Electricity	1,400	600

[B Com. 2010]

Solution

Receipts and Payments Account
for the year ended 31.12.2009

Dr.

Cr.

Receipts	Rs.	Payments	Rs.
To balance b/d	3,600	By Salaries	48,000
To subscription 1,56,000		By Stationery 3,200	
Less: O/s Sub for 08 6,000		Add: Outstanding for 08 1,200	
Less: O/s Sub for 09 (10,000)			4,400
	1,52,000	Less: Outstanding for 09 800	3,600
Add: Pre recd in 09 20,000		By Postages Telephone 6,400	
Less: Pre recd in 08 (12,000)	1,60,000	Add: O/s for 08 600	
To Donations	16,000		7,000
To Billiard Room Collection	14,000	Less: O/s for 09 400	6,600
To Entrance fees	24,000	By Rates & Taxes	12,000
To Interest on Investment	5,400	By Repair	16,000
To Sale of Fixed Assets	28,000	By Table Tennis Balls	2,400
		By Electricity 12,000	
		Add: O's for 08 1,400	
			13,400
		Less: O/s for 09 600	12,800
		By Billiard Room Expenses	6,000
		By Upkeep of Ground	18,800
		By Investments	40,000
		By Printing of Magazine	4,000
		By balance c/d	80,800
	2,51,000		2,51,000

Balance Sheet as at 31.12.2009

Liabilities	Rs.	Particulars	Rs.
Capital fund 1,44,400		Fixed Assets	64,000
Add: Surplus 82,600	2,27,000	Investment 54,000	
Subscription in Advance	20,000	Add: Addition 40,000	94,000
Creditors for Stationery	800	Cash at Bank	80,800
Telephone Bill O/s	400	Subscription Outstanding	10,000
Electricity Bill O/s	600		
	2,48,800		2,48,800

Working Notes:

Balance Sheet as at 1.1.2009

Liabilities	Rs.	Assets	Rs.
Subscription in advance	12,000	Fixed Assets	96,000
Creditors for Stationery	1,200	Invctmnts	54,000
Telephone bill O/s	600	Cash at Bank	3,600
Electricity bill O/s	1,400	Subscription O/s	6,000
Capital Fund (Balancing figure)	1,44,400		
	1,59,600		1,59,600

PROBLEM 21. From the following *Income and Expenditure Account* for the year ending on 31st December, 2009. *Balance Sheet* as on 1st January and additional information:

Income and Expenditure Account
(For the year 31st December, 2009)

<i>Expenditure</i>	<i>Rs.</i>	<i>Income</i>	<i>Rs.</i>
To Salaries	6,000	By Subscription	11,280
To Rent	1,320	By Entrance Fee	720
To Travelling Expenses	60	By Donation	1,200
To Printing and Stationery	120	By Interest	600
To General Expenses	180		
To Equipment used	3,000		
To Surplus	3,120		
	13,800		13,800

Balance Sheet as at 1st January, 2009

<i>Liabilities</i>	<i>Rs.</i>	<i>Assets</i>	<i>Rs.</i>
Capital Fund	20,700	Furniture	4,000
Rent outstanding	120	Building	8,000
Salaries outstanding	780	Investment	6,000
		Sports Equipment	1,200
		Bank	1,680
		Accrued Interest	120
		Subscription Due	600
	21,600		21,600

Additional Information: (Balances as at 31st December, 2009):

Subscription- receivable Rs. 960

Salaries outstanding Rs. 480

Rent outstanding Rs. 240

Sports equipment Rs. 3,000

Required: Prepare *Receipts and Payments Account* for the year ending 31st Dec., 2009 and a *Balance Sheet* as on 31st Dec., 2009. [B. Com. 2011]

Solution

Receipts and Payments Account
for the year ended 31st Dec. 2009

Dr.		for the year ended 31st Dec. 2009		Cr.	
Receipts		Rs.	Payments		Rs.
To Balance b/d	1680	By Salaries	6,300		
To subscription received	10,920	By Rent	1,200		
To Donation	1,200	By Sports equipments	4,800		
To Interest (600 + 120)	720	By Travelling Exp.	60		
To Entrance fee	720	By Printing and Stationary	120		
		By General Expenses	180		
		By Balance c/d	2,580		
	15,240		15,240		

2.44 Tulsian's Quick Revision for Financial Accounting

Balance Sheet as at 31st December 2009

Liabilities	Rs.	Assets	Rs.
Capital Fund:		Furniture	4,000
Op. Balance	20,700	Building	8,000
Add: Surplus	3,120	Investments	6,000
Rent O/s		Sports Equipment	3,000
Salaries O/s		Subscription O/s	960
		Bank Balance	2,580
	24,540		24,540

Working Notes:

Dr. **Subscription Account** Cr.

Particulars	Rs.	Particulars	Rs.
To Balance b/d	600	By Bank A/c (b.f.)	10,920
To Income and Expenditure A/c	11,280	By Balance c/d	960
	11,880		11,880

Dr. **Sports Equipment Account** Cr.

Particulars	Rs.	Particulars	Rs.
To Balance b/d	1,200	By Income & Expenditure A/c	3,000
To Bank A/c (Purchases) (b.f.)	4,800	By Balance c/d	3,000
	6,000		6,000

Dr. **Rent Account** Cr.

Particulars	Rs.	Particulars	Rs.
To Bank (b.f.)	1,200	By Balance b/d	120
To Balance c/d	240	By Income and Expenditure A/c	1,320
	1,440		1,440

Dr. **Rent Account** Cr.

Particulars	Rs.	Particulars	Rs.
To Bank (b.f.)	6,300	By Balance b/d	780
To Balance c/d	480	By Income and Expenditure A/c	6,000
	6,780		6,780

PROBLEM 22. The following is the Income and Expenditure Account of a Charitable Hospital for the year ending 31-12-2006:

Dr.

Cr.

Expenditure	Rs.	Income	Rs.
Salaries	2,35,000	Subscriptions	2,20,000
Diet Expenses	20,000	Donations	40,000
Rent and Rates	5,000	Interest on Investment	90,000
Insurance	2,000	for full year @ 5% p.a.	
Office Expenses	8,000	Miscellaneous Receipts	6,000
Surgery and Dispensary Expenses	10,000		
Depreciation :			
Building	37,500		
furniture	1,200		
instruments	8,000		
	46,700		
Surplus of Income over Expenditure	29,300		
	3,56,000		3,56,000

Other Information supplied to you are as under:

	31-12-2005 Rs.	31-12-2006 Rs.
Cash in hand	2,000	1,500
Cash at bank	54,000	?
Building	7,50,000	?
Furniture	20,000	?
Instruments	35,000	?
Subscription outstanding	15,000	45,000
Subscription received in advance	6,000	8,000
Salaries outstanding	18,000	20,000

Instruments purchased during the year 2006 were Rs. 5,000.

Required: Prepare the Receipts and Payments Account of the Hospital for the year ended 31st December, 2006 and the Balance Sheet as on that date. Submit your working clearly.

[B. Com. 2007 (R)]

Solution

Receipts and Payments Account

Dr.

for the year ending 31st Dec., 2006

Cr.

Receipts	Rs.	Payments	Rs.
To Balance b/d:		By Salaries	2,35,000
Cash	2,000	Add: Outstanding (2005)	18,000
Bank	54,000	Less: Outstanding (2006)	20,000
	56,000		2,33,000
To Subscription	2,20,000	By Diet Expenses	20,000
Add: Outstanding (2005)	15,000	By Rent & Rates	5,000
Less: Outstanding (2006) (45,000)		By Insurance	2,000
Less: Advance (2006) (8,000)		By Office Expenses	8,000
Less: Advance	(6,000)	By Instruments	5,000
	1,92,000	By Surgery and dispensary Exp.	10,000
To Donations	40,000	By Balance c/d:	
To Interest on Investment	90,000	Cash	1,500
		Bank (Bal. Fig.)	99,500
	3,84,000		1,01,000
			3,84,000

Balance Sheet as at 31st Dec., 2006

Liabilities	Rs.	Assets	Rs.
Capital Fund:		Building 7,50,000	
Opening Balance 26,52,000		Less: Depreciation (37,500)	7,12,500
Add: Surplus 29,300	26,81,300	Furniture 20,000	
Subscription Received in Adv. 8,000		Less: Depreciation (1,200)	18,800
Outstanding Salary 20,000		Instruments 35,000	
		Add: Purchased 5,000	
		Less: Depreciation 8,000	32,000
		Investments 18,00,000	
		subscription outstanding 45,000	
		Cash in Hand 1,500	
		Cash at Bank 99,500	
	27,09,300		27,09,300

Working Note: Calculation of Capital Fund as at 31st Dec., 2005

Balance Sheet as at 31st Dec., 2005

Liabilities	Rs.	Assets	Rs.
Subscription Received in Adv. 6,000		Cash in Hand 2,000	
Salaries Outstanding 18,000		Cash at Bank 54,000	
Capital Fund (Bal. Fig.) 26,52,000		Building 7,50,000	
		Furniture 20,000	
		Instruments 35,000	
		Subscription outstanding 15,000	
		Investments [Rs. 90,000 × 100/5] 18,00,000	
	26,76,000		26,76,000

PROBLEM 23. The following is the Income and Expenditure Account of the Red Roses Club for the year ended on March, 31 20X2.

Expenditure	Rs	Income	Rs
To Salaries 24,000		By Subscriptions 72,000	
To Rent 10,800		By Entrance fees 8,000	
To Rates and Taxes 600		By Surplus on Publication of brochure 4,500	
To Postage and Telephones 720		By Profit on sale of old sports as sets 1,200	
To Affiliation fees to the All-India Lawn Tennis Association 1,200		By Interest on 4% investments 600	
To Sports Materials 15,750		By Miscellaneous Income 225	
To Electricity Charges 1,200			
To Repairs and Maintenance to tennis court 9,600			
To Depreciation on assets at 10% of gross book value at end of year 4,800			
To Surplus carried to Capital Fund 17,855			
	86,525		86,525

The following further information is made available:

	Balances on 31.3.20X1 Rs	Balances as at 31.3.20X2 Rs
(a) Sundry assets	44,000	?
Bank Balance	4,800	?
Subscriptions in arrear	4,750	3,500
Subscription received in advance	1,400	2,600
4% Investments [Face value Rs 15,000]	12,000	12,000
(b) Expenses Outstanding:		
Salaries	600	1,200
Rent	900	1,800
Rates & Taxes	Nil	600
Tennis court maintenance	780	320
(c) Outstanding for purchase of sports materials	1,400	2,950
(d) Prize Fund	4,600	3,250
(e) The book value, as on 1.4.20X1 of sports goods sold in the year was Rs 4,000.		
(f) Prize Fund is separately maintained. All receipts are credited to it separately and expenditure is met out of the fund directly. During the year, credits to the account amounted to Rs 2,800.		
(g) Interest received this year was only for two quarters.		
(h) The club was admitted as a member of the All India Lawn Tennis Federation on 1.10.20X1 when it paid subscription till 30.9.20X2.		
(i) Advertisement charges on brochure—yet to be collected—Rs 450.		
(j) A fixed deposit of Rs 25,000 was made on 31st March, 20X2.		

Required: Prepare the Receipts and Payments Account for the year ended on March 31, 20X2 and the Balance-Sheet as on that date of the Red Roses Club. [B.Com.]

Solution

Receipts and Payment Accounts of Red Roses Club for the year ending on 31st March, 20X2

Dr.			Cr.
Receipts	Rs	Payments	Rs
To Balance b/d	4,800	By Electricity Charges	1,200
To Subscription	74,450	By Salaries	23,400
To Entrance fee	8,000	By Rent	9,900
To Brochure receipts, Surplus	4,050	By Postage and Telephone	720
To Old Sports material	5,200	By A.I. and T.F. Affiliation fee	2,400
To Interest on Investments	300	By Purchase of Sports Material	14,200
To Miscellaneous receipts	225	By Repairs and Maintenance to tennis court	10,060
To Prize Fund receipts	2,800	By Sundry assets	8,000
		By Prize Fund	4,150
		By Fixed deposit	25,000
		By Balance c/d	795
	99,825		99,825

Balance Sheet of Red Roses Club as at 31st March, 20X2

Liabilities	Rs	Assets	Rs
General Fund	55,870	Sundry Assets	48,000
Add: Surplus	17,855	Less: Depreciation	4,800
Prize Fund	3,250	4% Investments [FV Rs 15,000]	12,000
Liability for purchases and expenses	6,870	Fixed Deposit	25,000
Subscription received in advance	2,600	Subscriptions receivable	3,500
		Advance affiliation fee paid	1,200
		Advt. charges receivable	450
		Interest due to Investments	300
		Cash at Bank	795
	86,445		86,445

Working Notes:

(i) Balance Sheet as at 31st March, 20X1

Liabilities	Rs	Assets	Rs
Subscriptions received in advance	1,400	5% Investments	12,000
Expenses Outstanding	2,280	Sports Materials	4,000
Sundry suppliers (sports materials)	1,400	Sundry Assets	40,000
Prize Fund	4,600	Bank Balance	4,800
Capital Fund (Balancing figure)	55,870	Subscriptions receivable	4,750
	65,550		65,550

Dr.

(ii) Subscription Account

Cr.

Particulars	Rs	Particulars	Rs
To Outstanding Subscription A/c (Opening)	4,750	By Advance Subscription A/c (Beg.)	1,400
To Income and Expenditure Account	72,000	By Bank (Balancing figure)	74,450
To Advance Subscription A/c (end)	2,600	By Outstanding Subscription A/c (closing)	3,500
	79,350		79,350

Dr.

(iii) Sundry Assets Account

Cr.

Particulars	Rs	Particulars	Rs
To Balance b/d (Rs 44,000 – Rs 4,000)	40,000	By Depreciation A/c	4,800
To Bank A/c (Balancing figure)	8,000	By Balance c/d [Rs 4,800 (Depreciation) × 100/10] – Rs 4,800]	43,200
	48,000		48,000

Dr.

(iv) Stock of Sports Materials Account

Cr.

Particulars	Rs	Particulars	Rs
To Balance b/d	4,000	By Bank A/c	5,200
To Income & Expenditure A/c (Profit)	1,200	By Income & Expenditure A/c (Materials Consumed)	15,750
To Creditors for Sports Materials A/c	15,750		20,950
	20,950		20,950

Dr.		(v) Creditors for Sports Materials Account		Cr.	
Particulars		Rs	Particulars	Rs	
To Bank A/c (b.f.)		14,200	By Balance b/d	1,400	
To Balance c/d		2,950	By Credit Purchases	15,750	
		17,150		17,150	

Dr.		(vi) Prize Fund Account		Cr.	
Particulars		Rs	Particulars	Rs	
To Bank (Prize Awarded) (b.f.)		4,150	By Balance b/d	4,600	
To Balance c/d		3,250	By Bank A/c	2,800	
		7,400		7,400	

(vii) Total interest due @ 4% on Rs 15,000 i.e. Rs 600; half of it is received and the other half is still due.

(viii) AILTF Affiliation fee paid is Rs 1,200 (October-March) i.e. for the current year and advance payment is also Rs 1,200 (April-September).

MISCELLANEOUS PROBLEMS

PROBLEM 24. Show what amount will appear in Income and Expenditure A/c for the year ending 31-3-08 and Balance Sheet as at that date in each of the following cases:

Case (i): Prize Fund as at 31-3-2007 Rs. 12,000. Donations for prizes received during the year 2007-08 Rs. 2,800; Prizes awarded Rs. 2,000; 10% Prize Fund Investments as at 31-3-2007 Rs. 12,000. Interest received on Prize Fund Investments Rs. 600.

Case (ii): Stock of Stationery on 31-3-07 Rs. 3,000. Creditors of Stationery on 31-3-2007 Rs. 2,000, Advance paid for stationery carried forward from 2006-07 Rs. 200; Amount paid for Stationery during the year 2007-08 Rs. 10,800. Stock of Stationery on 31-3-08 Rs. 500, Creditors for Stationery on 31-3-08 Rs. 1,300 and Advance paid for Stationery on 31-3-08 Rs. 300.

Case (iii): Subscription outstanding as on 31-3-07 Rs. 2,000, subscription received in advance on 31-3-07 Rs. 3,000. Amount of subscription received during 2007-08 Rs. 35,000 out of which Rs. 1,500 related to 2006-07 and Rs. 800 related to 2008-09. On 31-3-08 subscription outstanding for 2007-08 amounted to Rs. 1,300. [B.Com 2008]

Solution

(i) Balance Sheet as at 31st March 2008

Liabilities		Rs.	Assets	Rs.
Prize Fund (Op. Bal.)	12,000		Prize fund Investment	12,000
Add : Donation Received	2,800		Interest accrued on Investment	600
	14,800			
Less: Prize Awarded	2,000			
	12,800			
Add: Interest received	600			
Add: Interest Outstanding	600	14,000		

Case (ii)

Dr. **Income & Expenditure Account for the year ended 31.3.2008** Cr.

<i>Expenditure</i>	<i>Rs.</i>	<i>Income</i>	<i>Rs.</i>
Amount paid for Stationery 10,800			
Add: Opening stock 3,000			
Less: Closing stock (500)			
Add: Prepaid Opening Balance 200			
Less: Prepaid Closing Balance (300)			
Add: Closing creditors 1,300			
Less: Opening creditors (2,000)	12,500		

Balance Sheet as at 31st March 2007

<i>Liabilities</i>	<i>Rs.</i>	<i>Assets</i>	<i>Rs.</i>
Creditors for Stationery	2,000	Stock of Stationery	3,000
		Prepaid Stationery	200

Balance Sheet as 31st March 2008

<i>Liabilities</i>	<i>Rs.</i>	<i>Assets</i>	<i>Rs.</i>
Creditors for Stationery	1,300	Stock of Stationery	5,000
		Advance paid for Stationery	300

Case (iii) **Income and Expenditure Account for the year ended 31.3.2008**

<i>Expenditure</i>	<i>Rs.</i>	<i>Income</i>	<i>Rs.</i>
		Subscription received 35,000	
		Add: Subscription O/s for 1,300	
		current year	
		Less: Subscription O/s for (1,500)	
		previous year	
		receive during the year	
		Add: Pre received subscription 3,000	
		on 31/3/07	
		Add: Pre received subscription for 2008-09 (800)	37,000

Balance Sheet as at 1st April 2007

<i>Liabilities</i>	<i>Rs.</i>	<i>Assets</i>	<i>Rs.</i>
Subscription in advance	3,000	Subscription outstanding	2,000

Balance Sheet as at 31st March 2008

<i>Liabilities</i>	<i>Rs.</i>	<i>Assets</i>	<i>Rs.</i>
Subscription in advance	8,000	Subscription outstanding for 2007-08 1,300	
		for 2006-07 500	1,800

PROBLEM 25. How will you deal with the following cases while preparing final accounts of a Sports Club as on 31st December 2007?

(i) Extract of Trial Balance as at 31st December, 2007

Particulars	Debit Rs.	Credit Rs.
Match fund	—	20,000
Match fund investment	18,000	—
Match fund bank balance	875	—
Match fund investment interest	—	720
Match expenses	1,250	—

(ii) Balance Sheet as at 1st January, 2007

Liabilities	Rs.	Assets	Rs.
Creditors for Sports Material	15,000	Sports Material	20,000

Receipts and Payments Account
for the year ended 31st December, 2007

Receipts	Rs.	Payments	Rs.
Sports Material (Sale of old material)	9,000	Sports Material	3,50,000

Sports Material on hand on 31st December, 2007 was Rs. 55,000.

(iii)

	Rs.
Subscription received during 2007	2,50,000
Subscription outstanding on 31.12.2006	50,000
Subscription outstanding on 31.12.2007	1,00,000
Subscription received in advance on 31.12.2006	75,000
Subscription received in advance on 31.12.2007	50,000

[B. Com. 2009(E)]

Solution

(i) Balance Sheet as at 31st December 2007

Liabilities	Rs.	Assets	Rs.
Match Fund 20,000		Match Fund Bank Balance 875	
Add: Interest 720		Match Fund Investment 18,000	
Less: Match Expenses 1,250	19,470		

(ii) Income and Expenditure Account
for the year ended 31 December, 2007

Dr.	Rs.	Cr.	Rs.
Expenditure		Income	
To Sport Material (Consumed)	3,00,000	By Sold of Old Sports Material	9,000

Balance Sheet as at 31 December, 2007

Liabilities	Rs.	Assets	Rs.
		Sports Material	55,000

Working Notes:

Dr.		(i) Creditors for Sports Material Account		Cr.	
Particulars	Rs.	Particulars	Rs.		
To Bank A/c	3,50,000	By Balance b/d	15,000		
		By Purchases A/c (Bal Fig.)	3,35,000		
	3,50,000		3,50,000		

(ii) Calculations of sports material consumed during the year

Particulars	Rs.
Opening Stock of Sport Material	20,000
Add: Purchases of Sports Material	3,55,000
Less: Closing Stock of Sports Material	(55,000)
Sports Material consumed during the year	3,00,000

(iii) Income and Expenditure Account
for the year ended 31 December, 2007

Expenditure	Rs.	Income	Rs.
		By Subscription (Note)	3,25,000

Balance Sheet as at 31 December, 2007

Liabilities	Rs.	Assets	Rs.
Subscription Received in advance	50,000	Subscription outstanding	1,00,000

Note: Calculation of Subscription Income for 2007

Particulars	Rs.
Subscription received during 2007	2,50,000
Add: Subscription in outstanding on 31.12.2007	1,00,000
Subscription received in advance on 31.12.2006	75,000
Less: Subscription outstanding on 31.12.2006	50,000
Subscription received in advance on 31.12.2007	50,000
Subscription Income for 2007, to be credited to I & E A/c	3,25,000

Problem 26. The following balances are obtained from the books of Kanpur Cricket Club as on 31st March 20X1 and 31st March 20X2:

	31.3.20X1 Rs	31.3.20X2 Rs
Buildings	80,000	85,500
Furniture	40,000	30,600
Advance Subscription	1,500	1,000
Arrears of Subscription	3,000	5,000
Prepaid Expenses	800	1,000
Outstanding Expenses	3,000	1,200
Sports Equipments	24,000	21,600
Investments	—	12,000
Books	15,000	16,200
Cash	16,000	17,100

Consider the following information relevant to the year 20X1-20X2:

- (i) Depreciation provided for the year:
Buildings Rs 4,500, Furniture Rs 3,400, Sports Equipments Rs 5,400, Books Rs 1,800.
- (ii) Some old furniture standing in the books for Rs 6,000 on 1st April 20X1 was sold for Rs 4,000 on the same date.
- (iii) The club had 310 members on 31st March 20X1 as per the Register of Members. No fresh members were admitted during the year but 10 members left the club on 1st October 20X1.
- (iv) Subscription payable Rs 15 per month.
- (v) Donation received Rs 5,000 has been capitalised.
- (vi) Considerable Expenses were paid during the year.

Required: Show the Receipts and Payments Account, the Income and Expenditure Account for the year ended 31st March 20X2 and Closing Balance Sheet. [B.Com. (Delhi) 1997]

Solution

Receipts and Payments Account of Kanpur Cricket Club

Dr.		for the year ending 31.3.20X2		Cr.	
Receipts		Rs	Payments	Rs	
To Balance b/f: Cash		16,000	By Investments	12,000	
To Subscriptions:			By Additions to the Buildings	10,000	
Income	54,900		By Sports Equipments	3,000	
Less: Advance in beg.	1,500		By Books bought	3,000	
Add: Adv. at end	1,000		By Expenses (b.f.)	32,300	
Add: O/s in beg.	3,000		By Balance c/f: Cash (given)	17,100	
Less: O/s at end	5,000	52,400			
To Sale of Furniture		4,000			
To Donation		5,000			
		77,400			77,400

Income and Expenditure Account of Kanpur Cricket Club

Dr.		for the year ending 31.3.20X2		Cr.	
Expenditure		Rs	Income	Rs	
To Expenses:			By Subscriptions:		
Add: Prepaid in the beg.	800		300 × 15 × 12	54,000	
Less: Prepaid at the end	1,000		10 × 15 × 6	900	
Less: O/s in the beg.	3,000				54,900
Add: O/s at the end	1,200	30,300			
To Depreciations:					
Buildings		4,500			
Furniture		3,400			
Sp. Equipments		5,400			
Books		1,800			
To Loss on Sale of Furniture		2,000			
To Surplus		7,500			
		54,900			54,900

Balance Sheet of Kanpur Cricket Club as at 31.3.20X2

Liabilities	Rs	Assets	Rs
Subscriptions Received in Advance	1,000	Buildings: 80,000	
Outstanding Expenses	1,200	Add: Additions 10,000	
Capital Fund:		Less: Depreciation 4,500	85,500
Add: Opening Balance 1,74,300		Furniture 40,000	
Add: Donations 5,000		Less: Sold 6,000	
Add: Surplus 7,500	1,86,800	Less: Depreciation 3,400	30,600
		Subscriptions in Arrears	5,000
		Expenses Prepaid	1,000
		Sports Equipments:	
		Balance 24,000	
		Add: Purchases 3,000	
		Less: Depreciation 5,400	21,600
		Investments	12,000
		Books: 15,000	
		Add: New 3,000	
		Less: Depreciation 1,800	16,200
		Cash	17,100
	1,89,000		1,89,000

Working Note:

Balance Sheet of Kanpur Cricket Club as at 31.3.20X1

Liabilities	Rs	Assets	Rs
Subscriptions received in advance	1,500	Buildings	80,000
O/s Expenses	3,000	Furniture	40,000
Capital Fund (<i>Balancing figure</i>)	1,74,300	Sports Equipment	24,000
		Prepaid Expenses	800
		Books:	15,000
		O/s Subscriptions	3,000
		Cash	16,000
	1,78,800		1,78,800

Problem 27. A club had the following figures in its books on 31st March, 2011 the end of the year of the club. Prepare Receipts & Payments A/c, Income & Expenditure Account for the year ended 31st March, 2011 and a balance sheet on that date:

(i) Donations for building and library Rs 2,00,000

(ii)

	Revenue (Rs)	Actual Receipts (Rs)
Entrance Fees	1,000	700
Subscriptions	20,000	19,000
Locker Rent	600	600
Miscellaneous Income	1,600	1,060
Refreshment Account (Fund)	—	16,000
	Expenditure (Rs)	Payment Made (Rs)
Land	1,40,000	1,29,000
Furniture	6,000	5,000
Salaries	5,000	4,800
Refreshment Account	10,000	8,000

Rent, Electricity etc.	8,000	10,000
Maintenance of ground	2,000	1,000

Donations to the extent of Rs 25,000 were utilised to purchase books for library. Entrance fees is to be capitalised. [B.Com]

Solution**Receipts & Payments Account**

Dr. for the year ending 31st March, 2011 Cr.

Receipts	Rs	Payments	Rs
To Donation for Building and Library	2,00,000	By Land	1,29,000
To Entrance Fees	700	By Furniture	5,000
To Subscriptions	19,000	By Salaries	4,800
To Lockers Rents	600	By Refreshment Account	8,000
To Miscellaneous Income	1,060	By Rent, Electricity etc.	10,000
To Refreshment Account	16,000	By Maintenance of Ground	1,000
		By Purchase of Library Books	25,000
		By Balance c/d	54,560
	2,37,360		2,37,360

Income & Expenditure Account

Dr. for the year ending 31st March, 2011 Cr.

Expenditure	Rs	Income	Rs
To Salaries 4,800		By Subscription 19,000	
Add: O/s Salaries 200	5,000	Add: O/s Subs. 1,000	20,000
To Rent and Electricity etc. 10,000		By Lockers Rent 600	
Less: Prepaid 2,000	8,000	By Miscellaneous Income 1,060	
To Maintenance of Ground 1,000		Add: Accrued 540	1,600
Add: O/s 1,000	2,000		
To Excess of Income over expenditure (surplus)	7,200		
	22,200		22,200

Balance Sheet as at 31st March, 2011

Liabilities	Rs	Assets	Rs
Donation for Building and library	2,00,000	Land	1,40,000
Refreshment Fund 16,000		Furniture	6,000
Less: Expenses		O/s Subscription	1,000
(8,000 + 2,000) 10,000	6,000	Library Books	25,000
Creditors for Refreshment	2,000	Prepaid Rent & Electricity	2,000
Creditor for Land	11,000	Accrued Miscellaneous Income	540
Entrance Fee 700		Accrued Entrance Fees	300
Add: Accrued 300	1,000	Cash and Bank Balance	54,560
O/s for Salary	200		
O/s for Maintenance of Ground	1,000		
Creditors for Furniture	1,000		
Surplus	7,200		
	2,29,400		2,29,400